# OECD
## ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

# NEW ZEALAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

AUGUST 1976

# BASIC STATISTICS OF NEW ZEALAND

## THE LAND

| | |
|---|---|
| Area (1 000 sq.km) | 268.7 |
| Agricultural area (% of total) | 64.6 |
| Grassland (% of total) | 48.7 |

| | |
|---|---|
| Urban population[1], % of total (1.4.75) | 69.2 |

Population of major cities and urban areas (1.4.75):

| | City | Urban area |
|---|---|---|
| Christchurch | 172.5 | 297.9 |
| Auckland | 153.1 | 746.4 |
| Wellington | 143.4 | 333.7 |

## THE PEOPLE

| | |
|---|---|
| Population, 31.12.75 (1 000) | 3 148.4 |
| No. of inhabitants per sq.km | 11.7 |
| Net rate of increase per 1 000 inhabitants (average 1974-75): | |
| Natural increase | 10.7 |
| Net immigration | 10.3 |

| | |
|---|---|
| Civilian employment, Oct. 1975 (1 000) | 1 183.4 |
| *of which:* Agriculture | 144.2 |
| Manufacturing | 282.1 |
| Trade (wholesale and retail) | 191.0 |

## PARLIAMENT AND GOVERNMENT

Present composition of Parliament: National Party 55
Labour Party 32

Present Government: National Party
Next general election: at latest by November 1978

## PRODUCTION[2]

| | |
|---|---|
| Gross National Product, 1974-75 ($ NZ million) | 9 421 |
| GNP per capita, 1974-75 ($ NZ) | 3 078 |

## FOREIGN TRADE (1974)[3]

| Main exports (percentage of total): | |
|---|---|
| Meat and meat preparations | 28.4 |
| Dairy products | 17.7 |
| Wool | 17.0 |
| Manufactured goods | 14.4 |
| Forest products | 7.7 |

| Main imports (percentage of total): | |
|---|---|
| Machinery and transport equipment | 32.4 |
| Basic manufactures (except fuel) | 28.9 |
| Fuel | 12.8 |
| Chemicals | 11.7 |

## THE CURRENCY

Monetary unit : New Zealand dollar

| Currency unit per US dollar, average of daily figures: | |
|---|---|
| Year 1975 | 0.8262 |
| June 1976 | 1.0100 |

1 Defined as the population in the 24 statistical urban areas plus all towns etc. with population exceeding 1 000.
2 Fiscal year beginning 1st April.
3 Year beginning 1st July.

NOTE An international comparison of certain basic statistics is given in an annex table.

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# NEW ZEALAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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*The annual review of New Zealand*
*by the OECD Economic and Development Review Committee*
*took place on 24th June, 1976.*
*The present Survey has been updated subsequently.*

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## INTRODUCTION

Last year's Survey of New Zealand, the first carried out by the OECD, emphasised the economy's high degree of dependence on a limited range of export commodities and markets. Some uncertainty was expressed regarding the country's short-term prospects in the light of the severe deflationary impact on the level of domestic activity of the oil crisis and the sharp fall in certain commodity prices. Indeed, 1975 proved to be an unfavourable year, although supportive policies were pursued to alleviate the impact on employment. However, as the depression in world markets continued longer than expected, this policy stance, which was buttressed by substantial external borrowing, was modified as the deficit on the current account of the balance of payments reached record levels. While this year should witness a reduction in the deficit, a further decline in levels of domestic activity as well as a high rate of inflation are expected.

Given the decisive role which external impulses have played over this period, Part I of the present Survey examines in some detail the structure of the external sector as well as the role of agriculture which, although now only accounting for little more than one-tenth of GDP, still contributes some three-quarters of the country's merchandise exports. Part II discusses domestic developments over the recent past, paying particular attention to the role of policy, while Part III presents the Secretariat's view of short-term economic prospects and concludes with a discussion of policy issues.

## I THE BALANCE OF PAYMENTS

New Zealand's current deficit, which amounted to $US 1 600 million in 1974, remained very large in 1975 at $US 1 450 million. These deficits were equivalent to about 13½ per cent of GNP in both years, the largest recorded among OECD Member countries in each year and comparing with a longer-run deficit equivalent to just over 1 per cent. Last year's Annual Survey examined the deterioration in New Zealand's terms of trade—following the collapse of the commodity boom in late 1973 and the quadrupling of international oil prices—which imparted the initial impetus to the weakening in the external account. The very high volume of imports which continued during 1974, in reflection of the earlier excessive domestic demand pressures, exacerbated the situation. For most of 1975, policy was oriented towards supporting the level of domestic activity, allowing the balance of payments to absorb the greater part of the burden of adjustment.

Although a very marked improvement in the volume balance of goods and services occurred in 1975, primarily on account of a very substantial decline in imports, but also reflecting some increase of exports, the favourable effect on the external account was offset by a further, much more marked

deterioration in the terms of trade.[1] Nevertheless, the current account deficit appears to have peaked in the fourth quarter of 1974, and some improvement has since been evident. The rate of capital inflow, which though very considerable in 1974 had still left a significant part of the current deficit to be financed by drawing on reserves, rose substantially last year. With heavy resort also being made to IMF facilities, New Zealand's official reserves declined only marginally in the course of 1975 to the equivalent of some two months of merchandise imports by end-December, corresponding to about the minimum level thought appropriate by the authorities. At the same time, official external indebtedness rose to the equivalent of about 18 per cent of GDP (one of the highest figures in the OECD area).

*The terms of trade*

New Zealand's terms of trade have traditionally been subject to significant fluctuation, but movements over the past few years have exceeded past experience. During the 1960's the mean annual movement (without regard to sign) in New Zealand's merchandise terms of trade amounted to 5.8 per cent—equivalent to that of Iceland and more than twice the 2.2 per cent average for all other OECD Member countries. During the first half of the 1970's the magnitude of these average fluctuations rose substantially—in the case of New Zealand to 15.6 per cent, nearly three times the 5.8 per cent average for other OECD countries and about the same as the figure for Australia (16.0 per cent). As a result of the 1972/73 boom in international commodity prices, New Zealand's terms of trade improved by no less than 55 per cent between March 1971 and June 1973, to a level only slightly below that attained at the peak of the Korean War boom.[2] During the ensuing seven quarters, however, a deterioration of the order of 46 per cent was recorded, which took the index to its lowest level for over 40 years.

Except in the most recent past, these fluctuations in the terms of trade have reflected to a large extent movements in export prices, which have been much more volatile than import prices. During the period 1961-1974, the average year-to-year change (without regard to sign) in the rate of increase of export prices in US dollar terms was some 12 per cent—about the same as the figure for Australia but three times as volatile as the 4 per cent average for the European industrialised countries.[3] This instability can be traced to the fact that the country is dependent for about three-quarters of its export receipts on three commodity groups—wool, meat and dairy products—whose world prices are typically subject to quite volatile movement.

*Trade volumes*

Perhaps somewhat surprisingly, New Zealand export volumes have not been significantly more volatile than those of European Member countries. During the period 1962-74, their average variability, on the same measure as

1 This terms of trade effect largely reflected, however, the sharp deterioration during 1974 and into the first quarter of 1975—after which they remained approximately unchanged.

2 However, the individual export and import price movements were less pronounced during the Korean boom (see Diagram 1).

3 These figures should be treated with caution given that exchange rates with New Zealand's important trading partners have not always followed the US dollar rate. It should be noted that even if the very volatile recent period is excluded, the relative positions which emerge from the calculation are very similar. Over the period 1961-71, the average changes are 7½-8 per cent for New Zealand and Australia and 3 per cent on average for European countries.

## Table 1 Balance of payments

NZ $ million, not seasonally adjusted

### (a) Balance of payments basis

| Year to March | Exports f.o.b. | Imports f.o.b. | Trade balance | Balance of services etc. | Balance on current account | Long-term capital: Private[1] | Long-term capital: Government | Short-term capital: Monetary Institutions | Short-term capital: Other[2] | *Memo item:* Current balance $ US million |
|---|---|---|---|---|---|---|---|---|---|---|
| 1971 | 1 103 | 1 042 | 61 | —259 | —199 | 131 | 5 | 0 | 62 | —221 |
| 1972 | 1 306 | 1 070 | 235 | —249 | —14 | 180 | 60 | —178 | —49 | —18 |
| 1973 | 1 666 | 1 222 | 444 | —283 | 161 | 194 | —50 | —324 | 20 | 203 |
| 1974 | 1 862 | 1 583 | 279 | —374 | —95 | 190 | —38 | —53 | —4 | —149 |
| 1975 | 1 618 | 2 577 | —959 | —431 | —1 390 | 357 | 235 | 515 | 283 | —1 926 |
| Calendar year | | | | | | | | | | |
| 1974 | 1 721 | 2 433 | —712 | —421 | —1 133 | | | | | —1 587 |
| 1975 | 1 795 | 2 469 | —674 | —512 | —1 186 | | | | | —1 457 |
| *Quarter* 1974: 1 | 444 | 468 | —24 | —69 | —93 | | | | | —133 |
| 2 | 474 | 584 | —110 | —117 | —227 | | | | | —335 |
| 3 | 418 | 648 | —230 | —126 | —356 | | | | | —515 |
| 4 | 385 | 733 | —348 | —109 | —457 | | | | | —604 |
| 1975: 1 | 342 | 612 | —270 | —80 | —350 | | | | | —472 |
| 2 | 461 | 562 | —101 | —161 | —262 | | | | | —351 |
| 3 | 452 | 567 | —115 | —146 | —261 | | | | | —302 |
| 4 | 540 | 728 | —188 | —125 | —313 | | | | | —332 |

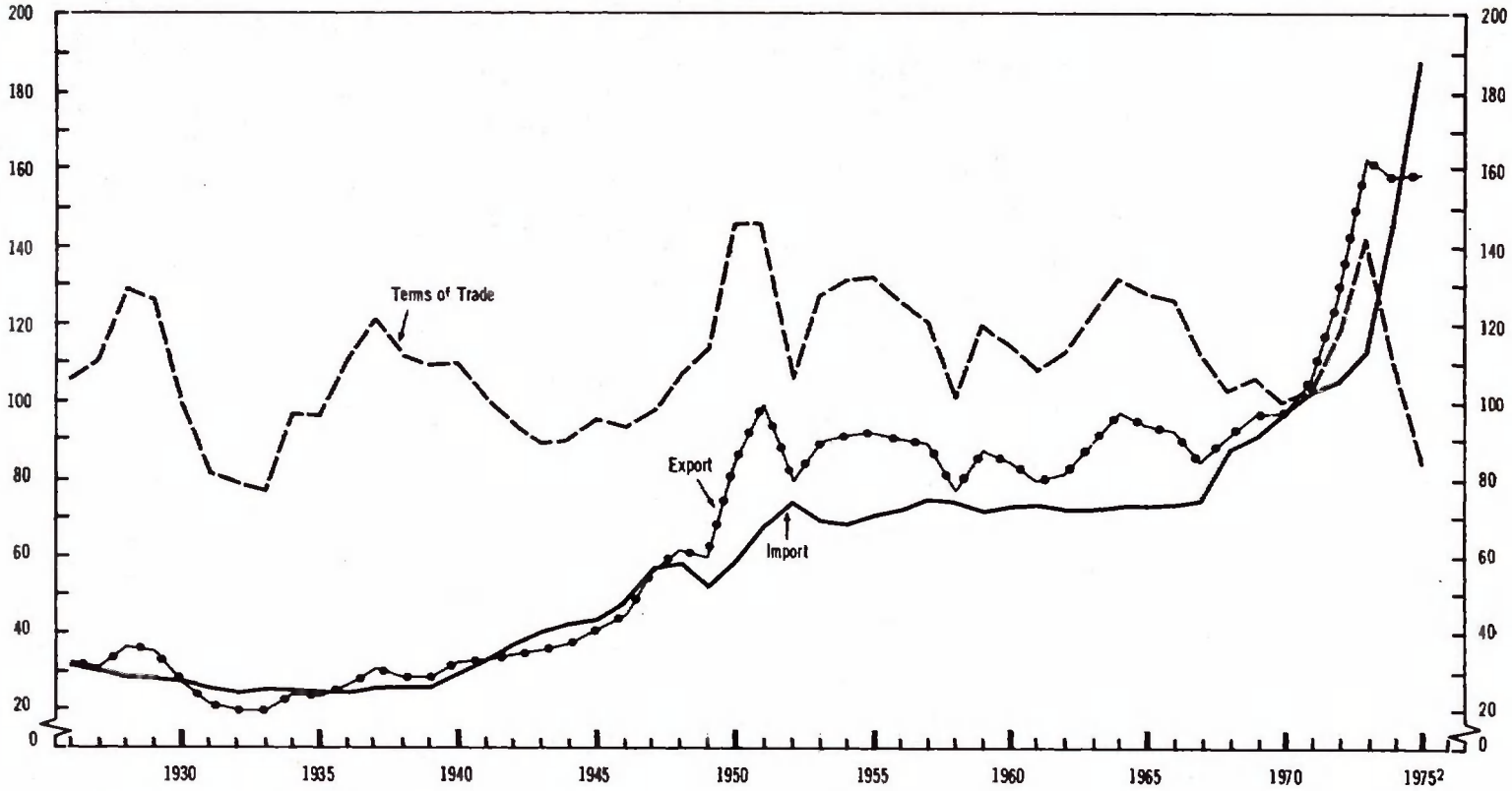
### (b) Overseas exchange transactions basis

| Calendar year | Export receipts | Import payments | Trade balance | Invisible balance | Balance on current account | Capital movements: Private | Capital movements: Govt. and Official[3] | Capital movements: Total[3] | Change in reserves |
|---|---|---|---|---|---|---|---|---|---|
| 1974 | 1 747 | 2 277 | —530 | —286 | —816 | 141 | 363 | 504 | —243 |
| 1975 | 1 876 | 2 476 | —600 | —386 | —986 | 203 | 623 | 825 | —35 |
| *Quarter* 1975: 1 | 368 | 530 | —162 | —59 | —221 | 75 | 98 | 173 | —40 |
| 2 | 473 | 601 | —128 | —124 | —252 | 72 | 168 | 239 | 22 |
| 3 | 511 | 619 | —108 | —133 | —241 | 8 | 122 | 130 | 11 |
| 4 | 524 | 725 | —202 | —69 | —271 | 48 | 235 | 283 | —29 |
| 1976: 1 | 702 | 658 | 44 | —94 | —50 | 78 | 104 | 183 | 140 |

1 Includes direct investment. 2 Includes errors and omissions. 3 Includes IMF transactions.

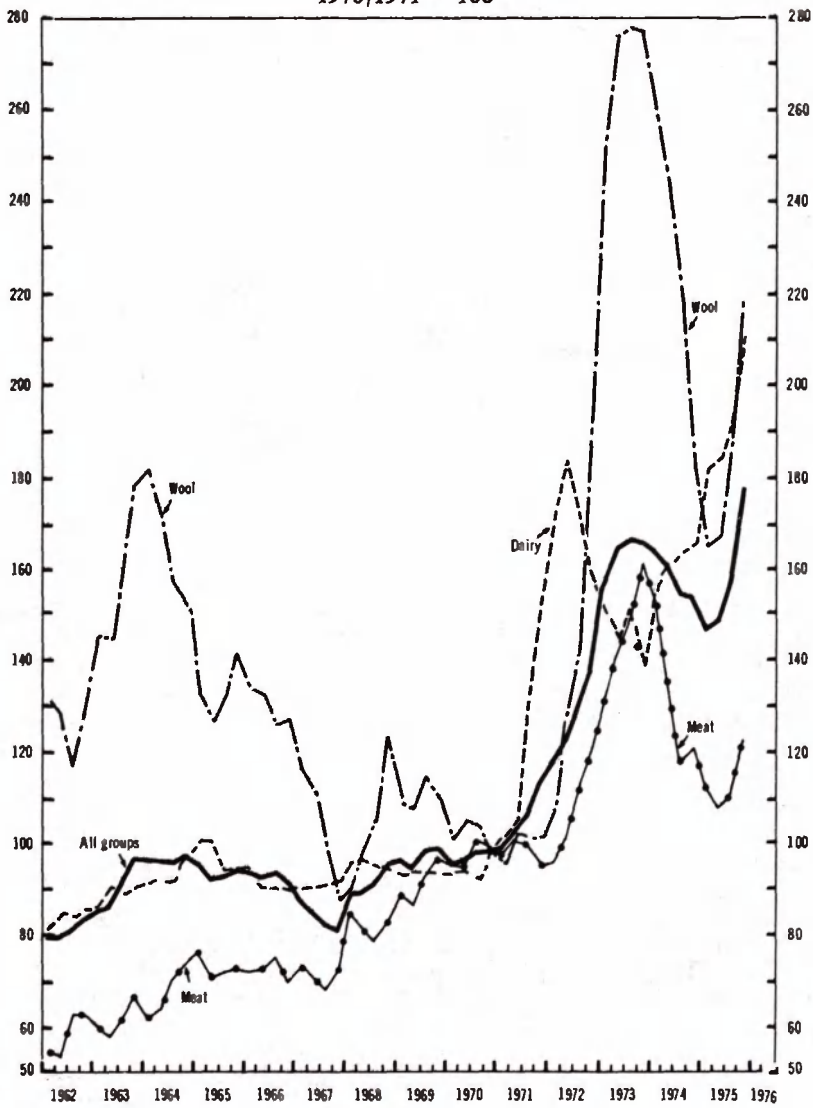
*Source:* Monthly Abstract of Statistics; Reserve Bank Bulletin.

*Diagram 1* **Merchandise trade prices and the terms of trade[1]**
1970/1971 = 100




1 Expressed in New Zealand currency.
2 1975 data are partly estimated.
*Source :* External Trade Report, Monthly Abstract of Statistics.

*Diagram 2* **Price indices of major exports** [1]
1970/1971 = 100




1 Expressed in New Zealand currency.
*Source :* External Trade Report, Monthly Abstract of Statistics.

used above for prices, was some 6½ per cent, compared with 5½ per cent on average for European countries and close to 8 per cent for Australia. Apart from quite strong, though not always regular, seasonal movements, the fluctuations among the major export categories have to some extent moved in opposite directions, thus compensating one another. Wool exports have fluctuated most, partly reflecting changes in stockholdings by the marketing organisations undertaken for stabilisation purposes. On the other hand, meat and dairy products are less amenable to such operations.

New Zealand's major exports (except wool) face important non-tariff trade barriers ranging from absolute bans on imports to various types of

Table 2 **Growth and variability of export volumes**
Annual percentage change

| Year ending June | Dairy | Meat | Wool | Other | Total |
|---|---|---|---|---|---|
| 1963 | —4.7 | 12.6 | —0.2 | 2.7 | 3.6 |
| 1964 | 8.5 | 0.5 | —1.9 | 9.3 | 3.5 |
| 1965 | 6.9 | —2.8 | —6.1 | 0.6 | —0.5 |
| 1966 | 1.7 | —5.6 | 15.5 | 11.5 | 3.7 |
| 1967 | 8.2 | 4.8 | —17.3 | —2.7 | —0.5 |
| 1968 | —1.4 | 14.9 | 18.1 | 27.4 | 13.8 |
| 1969 | —0.8 | 7.9 | 15.7 | 19.3 | 10.0 |
| 1970 | 5.0 | 7.3 | —1.1 | 8.5 | 5.4 |
| 1971 | —1.7 | 0.9 | —1.4 | 1.7 | 0.3 |
| 1972 | 1.6 | 3.2 | 7.1 | 8.0 | 4.8 |
| 1973 | —0.5 | 5.3 | —7.2 | 7.1 | 2.5 |
| 1974 | 1.4 | —15.6 | —25.8 | —4.9 | —10.8 |
| 1975 | —21.2 | 7.2 | 3.9 | —4.5 | — 3.1 |
| *Average* | | | | | |
| 1962-75 | —0.1 | 2.8 | —0.8 | 6.1 | 2.3 |

*Source:* Monthly Abstract of Statistics.

quotas (including "voluntary" restraints).[4] In view of this extensive protectionism practised against temperate zone foodstuffs, New Zealand has been actively seeking to diversify its product range and has indeed succeeded in more than doubling the share of non-agricultural commodities in its total merchandise exports in the postwar period.[5] In this context, forest products and manufactures in general have been the major growth items. Nevertheless, by virtue of the country's natural resource endowments agricultural products remain the mainstay of New Zealand's exports.

After peaking in the March 1973 quarter, export volumes fell almost continuously in seasonally-adjusted terms—except for some revival around mid-1974—until the first quarter of 1975. Over this period the index fell in all by one-third. The major decline took place in agricultural products which fell by 37 per cent, while forest industry shipments declined by 24 per cent. On the other hand, manufacturing exports rose marginally.[6] During the ensuing 6 months to the September 1975 quarter (the latest period for which data are available) the index rose by almost 13 per cent,[7] led primarily by forestry products and general manufacturing which, benefitting no doubt from the September 1974 devaluation,[8] both increased their exports by one-third in volume terms. Agricultural exports also revived during this period (by 12 per cent), reflecting mainly large increases in shipments of dairy products.

4 Subsidised competition in third markets has, particularly of late, also hindered exports. The rapidity with which these barriers may be introduced or modified creates considerable uncertainties in production planning and market development.

5 In the 1975 Budget provision was made for increasing and extending export tax incentives for non-traditional exports (see footnote 43, page 25). See also last year's Survey pages 19-20 concerning market diversification.

6 Fuel and power exports increased by over 60 per cent, but this item is relatively minor in the overall index.

7 On a seasonally-adjusted basis the increase amounted to about 36 per cent. Seasonally-adjusted figures are not available for the components of the index.

8 The New Zealand dollar was revalued on 9th July and 10th September 1973 by 3.25 and 10 per cent respectively, devalued on 25th September 1974 by 9 per cent and on 10th August 1975 by 15 per cent.

**Table 3 Import structure by end-use**
Percent

| | Year ending June | | | | | |
|---|---|---|---|---|---|---|
| | 1970 | 1971 | 1972 | 1973 | 1974 | 1975 |
| Capital goods plus components and materials: | | | | | | |
| Agricultural | 2.8 | 2.4 | 2.0 | 2.2 | 1.8 | 1.8 |
| Industrial | 5.5 | 5.9 | 7.6 | 6.2 | 5.2 | 6.3 |
| Construction | 0.4 | 0.6 | 0.5 | 0.9 | 1.1 | 0.7 |
| Transport/communication | 5.6 | 6.0 | 6.2 | 5.4 | 4.9 | 6.1 |
| Other | 10.6 | 12.3 | 9.9 | 10.4 | 9.8 | 12.3 |
| Total | 24.9 | 27.2 | 26.2 | 25.1 | 22.8 | 27.2 |
| Finished goods and components [1]: | | | | | | |
| Transport | 8.8 | 9.3 | 12.7 | 11.9 | 10.5 | 7.5 |
| Other | 4.1 | 4.3 | 4.0 | 4.0 | 3.5 | 3.9 |
| Total | 12.9 | 13.6 | 16.6 | 15.9 | 13.9 | 11.4 |
| Consumer goods: | | | | | | |
| Finished | 11.5 | 11.8 | 12.3 | 13.0 | 12.8 | 11.3 |
| Components | 12.4 | 12.4 | 12.6 | 12.6 | 12.8 | 11.7 |
| Total | 23.9 | 24.3 | 24.9 | 25.6 | 25.6 | 23.1 |
| Raw and semi-finished materials, etc. [2] | 38.2 | 34.9 | 32.2 | 33.4 | 37.7 | 38.4 |
| TOTAL | 100.0 | 100.0 | 100.0 | 100.0 | 100.0 | 100.0 |

1 Classed as consumption or capital according to buyer category.
2 Includes defence stores and items not elsewhere classified.
*Source:* 1975 Yearbook, Monthly Abstract of Statistics.

New Zealand's imports take largely the form of inputs into the production process—investment goods, components and raw materials—and as such are essential for the maintenance of industrial activity in New Zealand, since the existing possibilities for domestic substitution are very limited. The commodity structure of imports has remained relatively stable, with finished consumer goods accounting for only some 12 per cent of the total. Apart from levels of domestic activity, the demand for imports is also influenced by domestic monetary conditions as well as movements in relative prices.[9] In addition, some 30 per cent of imports are subject to import licensing which is, however, administered with considerable flexibility.[10]

9 A number of estimates of these relationships have been carried out using econometric methods. See, for example, R.S. Deane and M.A. Lumsden, "An Econometric Approach to Forecasting New Zealand's Imports", Reserve Bank of New Zealand Research Paper No. 5 (May 1972) and B.P. Philpott and N.D. Tho, " Some Preliminary Long Run Import Functions", Victoria University of Wellington Project on Economic Planning Discussion Paper No. 8 (December 1975).

10 Quantitative restrictions on imports have been applied since 1938. The percentage of imports subject to licensing was considerably reduced—from around 70 to 40 per cent of the total— during the 1960's. Transport equipment (especially motor cars) and electrical machinery are the import categories most affected by licensing. Econometric studies indicate motor vehicles as the category most affected by the actual implementation of the system of control.

In fact, import volumes have varied on average from year to year more than exports. However, given that the New Zealand domestic cycle tends to be export-led, this result can be interpreted as an adjustment operating either through changes in domestic demand levels or by direct policy measures in response to the impact of exogenous fluctuations in export volumes, export prices and import prices.

Early in 1974 the value of import orders placed began to fall following almost two years of strong domestic demand pressures. Subsequently, the effective value of licences issued for the licensing year 1974/75 was kept unchanged from the previous year—implying a sizeable volume reduction.[11] Further factors restricting import demand were the devaluation of the New Zealand dollar in September and the severe tightening of domestic liquidity conditions during 1974 with the progressive deterioration in the current account of the balance of payments. However, on account of the unusually long delivery lags caused by supply and shipping shortages which had developed during 1973, the volume of import clearances continued to increase, reaching a peak only in the December quarter of 1974. It is estimated that the volume of merchandise imports fell by about 23 per cent during 1975.[12] However, with the current account continuing in large deficit, an import deposit scheme was introduced at the beginning of February this year.[13] Under the scheme, which is to operate for one year and effects about 7½ per cent of merchandise imports, a deposit equal to one-third of the (current domestic) value of the goods concerned is to be placed interest-free with the Reserve Bank for a period of six months.

*Current balance*

New Zealand has typically recorded a trade surplus; indeed since 1950 a deficit had been registered in only one year prior to 1974. During the 1950's, the surplus averaged the equivalent of 3.5 per cent of GNP, but then fell quite noticeably to 2.1 per cent in the 1960's. On the other hand, invisible transactions have yielded a large deficit, primarily on account of substantial interest and dividend payments as well as expenditure on transportation.[14] Thus, the current account of the balance of payments has typically been in deficit—during the 1950's to the tune of 0.6 per cent of GNP, rising in the 1960's to 1.8 per cent.

For the second year running New Zealand recorded a deficit in its trading account in 1975, though at the equivalent of 6.9 per cent of GNP somewhat less than the 7.9 per cent of the preceding year. In 1973 the favourable effect of movements in trade prices clearly outweighed the negative impact of volume movements to yield a very substantial improvement in the trade balance. In 1974 volume effects may have been slightly the stronger in contributing to the negative swing in the balance, which was equivalent to no less than 13 per cent of GNP. Last year the two effects again operated in opposite directions (when the terms of trade continued to deteriorate on average) and approximately cancelled one another out.

The effect of the oil price increase on travel and transportation costs as well as more recently the costs of servicing the rising external debt have been the major factors contributing to the deterioration in the net services account since 1973. Net outflows from earnings on private investment in New Zealand

11 The value of ordinary licences issued was increased by 20 per cent compared with 1973/74 (the licensing year runs from July to June). During 1973/74, however, special "shortage" licences were issued to reduce domestic supply bottlenecks; these licences were not renewed in 1974/75.

12 The value of import licences for 1975/76 was kept at the same level as for 1974/75.

13 The New Zealand authorities indicated that there was evidence at the time of speculative ordering taking place of the commodities covered by the scheme.

14 A high, and apparently increasing, proportion of earnings from private direct investment is being retained in New Zealand. In the five years to March 1974 the average percentage of total earnings which was not distributed was 53 per cent compared with 37 per cent in the 1960's and 30 per cent in the 1950's.

rose strongly in 1973 but declined again in 1974 largely reflecting the earnings of companies engaged in trade and finance (particularly meat and dairying). Earnings on official overseas reserves exceeded interest payments on the external debt during the fiscal year ending March 1974, but the rundown in reserves and recommencement of an active borrowing programme have meant that a growing deficit has since re-emerged.[15]

*Capital account*

Long-term capital inflows have traditionally more than covered New Zealand's current account deficit, amounting on average in the 1950's to the equivalent of some 1.4 per cent of GNP and rising to 2.1 per cent in the 1960's. This inflow has taken the form very largely of private direct investment.[16] The role of the Government and monetary institutions has been to accommodate the short-term swings in the current account. With Central Government external debt remaining fairly steady at about 10 per cent of GDP in most of the post-war period, official overseas reserves, held mainly by the monetary institutions (particularly the Reserve Bank) have provided the main "cushion" to fluctuations in the basic balance.

In 1974 and 1975, however, capital inflows, according to Overseas Exchange Transactions (OET) statistics, amounted to only about 62 and 84 per cent respectively of the current account deficit, even though the absolute size of these inflows increased substantially compared with earlier years.[17] Unfortunately, data on the long- and short-term components of these movements are not available.[18] However, in both years inflows on account of the government sector amounted to twice those on private account. Net government and official (mainly Reserve Bank) borrowing has been very substantial. Including drawings from the IMF (entirely from the special facilities), net official inflows totalled $NZ 985 million over the two years. The strength of net cash inflows on private capital account reflects the continuation of buoyant private direct investment inflows, the tight domestic liquidity conditions in 1974 and a relaxed or even encouraging attitude by the authorities to private overseas borrowing.[19]

In spite of the magnitude of these capital inflows official overseas reserves fell by $NZ 280 million over the two years. At the end of March 1976 the

15 The current account surplus in 1972 and 1973 enabled some reduction to be made in the public external debt, and also led to a strong build-up in overseas reserves.

16 Companies with overseas affiliations are defined in New Zealand statistics as branches of overseas organisations operating in New Zealand, and New Zealand registered companies with 25 per cent or more of their equity shareholding subject to overseas control. About 2 per cent of all companies fell into this category in 1970/71, but these accounted for 22 per cent of shareholders' funds and 29 per cent of assessable income.

17 Overseas Exchange Transactions data cover cash transactions passing through the Reserve Bank exchange control. While OET statistics are available monthly, data on a balance of payments basis are prepared quarterly for the current account (the latest available being the December 1975 quarter), but only annually for the capital account (the latest available being for March year 1974/1975). It should be noted that there has been a tendency over the recent past for the discrepancy between OET and balance of payments data to widen, owing inter alia to leads and lags in payments.

18 Data for fiscal 1974/75 on a balance of payments basis show long-term capital inflows equivalent to over 6 per cent of GNP and to some 42 per cent of the overall capital balance. Private direct investment inflows amounted to less than either other private long-term or Government inflows.

19 Both receipts and payments in the private capital account are subject to Reserve Bank control. In order to facilitate borrowing abroad provision was made in February last year for companies borrowing for longer than one year to apply for exemption from the non-resident withholding tax on interest payments.

official reserves stood at $NZ 680 million, some $NZ 413 million lower than the peak reached in June 1973. Most of the rundown took place in late 1973 and early 1974, before the large-scale borrowing got under way. At the end of December 1975, the external debt of the Central Government and the Reserve Bank totalled $NZ 1869 million — equivalent to about 18 per cent of estimated GDP and 100 per cent of export cash receipts last year.[20] Servicing costs of this debt amount to some 5-6 per cent of current export receipts at present which, though a relatively high figure, is considerably less than the 10 per cent reached at the end of the Second World War.

## II RECENT DOMESTIC DEVELOPMENTS

The developments outlined above in New Zealand's external account have exercised a pervasive influence on the domestic economy, both through the direct impact on levels of activity via changes in private incomes and liquidity and through the resulting influence on policy formulation. Taking into account the effect of changes in the terms of trade, real national income, after rising by some 10½ per cent in 1973, fell by 2¼ per cent in 1974 and by an estimated further 5½ per cent last year. Such marked fluctuations in the economy's real purchasing power have obviously occasioned substantial and difficult adjustments on the part of the various sectors.

All elements of private domestic demand continued to rise strongly in 1974, with demand pressure spilling over into imports, which increased by 23 per cent in volume. In 1975 there was a marked turnround. Final domestic demand fell in volume terms, despite a large increase in public expenditure; and the turnround in inventory formation was unusually pronounced. As indicated earlier, the volume of imports fell by over one-fifth. GDP may therefore have fallen slightly, perhaps by about ½ per cent. Meanwhile, the rate of inflation has accelerated to one of the highest in the OECD area.

### *Private incomes*

The initial effect of fluctuations in foreign earnings impinges on export incomes—that is, very largely on the agricultural and related sectors, almost two-thirds of whose output is sold abroad.[21] The usual pattern of redistribution of incomes away from the export and corporate sectors in favour of wage and salary earners appears to have been more pronounced during this recent downturn than in previous cycles. However, the final incidence of these impulses on sector disposable incomes has been modified by various (largely ad hoc) redistributive measures. These have primarily taken the form of specific actions, such as agricultural stabilisation and price-support schemes as well as wage and price controls and general fiscal and monetary measures, including changes in the parity of the New Zealand currency.

During the years ended March 1974 and 1975 nominal net farm incomes (before tax) are estimated to have fallen by 10 and 57 per cent respectively—or in cumulative terms by over 61 per cent—to a level slightly below that of

20 These are probably the highest figures recorded since the immediate postwar period.

21 Only about 5-6 per cent of manufacturing output is exported.

**Table 4 Changes in private income[1]**
Percentage change

| | Year ended March: | | | |
|---|---|---|---|---|
| | 1972 | 1973 | 1974 | 1975[6] |
| Wages and salaries [2] | 18.4 | 12.1 | 19.3 | 20.8 |
| Unincorporated enterprises | 31.6 | 22.2 | 3.8 | —16.2 |
| *of which:* farming [3] | 67.3 | 27.9 | —10.0 | —57.1 |
| other | 7.8 | 16.4 | 19.3 | 18.8 |
| Social security benefits and pensions | 11.6 | 33.3 | 21.7 | 13.6 |
| Company profits [4] | 0.6 | 37.5 | 14.6 | 1.7 |
| Total [5] | 17.8 | 18.3 | 15.8 | 11.4 |

1 Before taxation.
2 Including pay and allowances of armed forces.
3 Including surplus of Producer Boards and Primary Produce Stabilisation Accounts.
4 Before profit distribution.
5 Excluding imputed rental value of owner-occupied homes.
6 Provisional.
*Source:* Monthly Abstract of Statistics.

1969[22]. In real terms the decline has, of course, been considerably sharper. The major depressive influence has been the rapid increase in on- and off-farm costs; while the volume of agricultural production fell by 4 per cent and prices by 7 per cent in 1974/75, on- and off-farm costs increased by 10 per cent. It is provisionally estimated that the share of net farm incomes in total private income which, apart from the recovery during the boom of the early 1970's, has been declining since 1964, dropped during the same year to only 3.0 per cent (compared with an average of 8.6 per cent during the preceding 10-year period). To some extent these fluctuations in farmers' receipts have been offset by Government support measures, which in 1974/75 are estimated to have amounted to just over one-fifth of net incomes.[23]

As a result of sharp falls in export prices received for wool, sheepmeats and beef, average gross income per sheep farm is estimated to have declined by around 27 per cent during fiscal 1974/75, following two favourable income years. Although there was a cutback in expenditure on fertilizer and maintenance outlays, costs rose very sharply (farmers' terms of exchange fell by 38 per cent) and net incomes fell by no less than 60 per cent to the lowest level experienced for some years (even in nominal terms). Assisted by favourable seasonal conditions and a high end-of-season milk fat payment, gross incomes per dairy farm are estimated to have risen by some 17 per cent, despite a slight decline in average prices received. With average costs rising by around 13 per cent (leading to a "terms of trade" deterioration of around 16 per cent), net incomes are estimated to have increased by around 20 per cent.

Total net farm income is tentatively estimated to have recovered by about 30 per cent during the 1975/76 season, with developments for sheep and dairy farmers again diverging quite significantly. Helped by a recovery in the latter part of 1975 in meat and particularly wool prices, the average net income per

22 Calculations of net farm incomes are only available on an annual fiscal year (April to March) basis. Net farm income is defined as gross income (before tax) less on- and off-farm expenses. Given the continuing decline in farm numbers, the fall in income per farmer has been less pronounced.

23 The dollar amount of such assistance in the 1972/73 boom year was even larger. Note that the net farm incomes estimates include the surplus of Producer Boards and changes in the balances of Primary Produce Stabilisation Accounts.

sheep farm is estimated to have recovered by more than 100 per cent—though this still leaves incomes significantly below the 1973/74 level. On the other hand, a reduced end-of-season payout in respect of the 1974/75 season, paid in 1975/76, has led to a reduction in average dairy farm incomes of about 7 per cent. The amount of Central Government assistance more than doubled, although the increase is very largely accounted for by transfers to the Meat Producers Board and Wool Marketing Corporation for stabilisation purposes (and as such may not represent a permanent net addition to farm incomes).[24]

Table 5 **Wage orders under wage stabilisation policies**[1]

| Effective Date | Increase | Percentage effect on wage bill | Percentage increase in Consumers Price Index since previous order |
|---|---|---|---|
| 1971 July | 4.8 % | 4.8 | 4.8 |
| 1972 July | 4.1 % | 4.1 | 4.1 |
| October | 4.2 % | 4.2 | 4.2 |
| 1973 August | Private Sector 8.5 %, maximum $5.80 per week<br>State Sector 6.2 %, maximum $4.60 per week | 4.7 [2] | 6.4 |
| 1974 February | 2.7 % | 2.7 | 4.7 |
| July | 9.0 % | 9.0 | 5.0 |
| 1975 January | 4.0 % maximum $3.00 per week | 3.0 [2] | 7.2 |
| July | $4.40 per week - absorbing January order i.e. increase of $1.40 per week for those receiving maximum increase in January | 1.5 [2] | 7.2 |
| 1976 January | $3.60 per week | 3.2 [2] | 7.9 |
| June | 7.0 % maximum $7.00 per week | 5.3 [2] | |

1 The orders listed have had differing compulsory coverage, but in practice have been applied to all salary and wage earners.
2 Estimated.
*Source:* Yearbook; New Zealand submission to the OECD.

Wage rates continued to be subject to official control under the Wage Adjustment Regulations last year. Apart from Cost of Living Orders issued by the Industrial Commission at half-yearly intervals on the basis of past increases in the consumer price index, a 2 $^1/_4$ per cent free bargaining margin, which is virtually accorded automatically to all categories, was allowed at the time of the July 1975 Order.[25] Whereas in 1974 the wage orders exceeded movements in the consumer price index, only about 90 per cent compensation (including the free bargaining margin) was accorded last year, although some fiscal compensation in the form of a reduction in income tax rates for all but

24 These transfers to the wool and meat industry Income Stabilisation Accounts represent the first direct Government financial involvement of their kind in recent years. As indicated in last year's Survey (page 13), agricultural price stabilisation schemes in New Zealand have been financed from industry sources—typically from funds accumulated during the Second World War. For example, during the meat season ended September 1975 the Meat Producers Board spent $33 million for supplementing beef prices, with most of the funds coming from industry reserves.

25 Both Cost of Living Orders issued last year were essentially of the "flat-rate" type (that is, they were expressed in absolute money rather than percentage terms above a certain low level).

the highest income recipients was conceded in return.[26] The index of award rates rose on average by 12.7 per cent last year—with little variation between industries—which implied a slight decline of about 1½ per cent in real terms. According to the Department of Labour half-yearly survey, average weekly earnings rose during the 12 months to mid-October 1975 by 10.0 per cent, representing an appreciable slowdown from the 18.1 per cent recorded during the preceding 12-month period. While the incidence of wage drift appears, somewhat surprisingly, to have increased, overtime and employment effects contributed to the slowdown in the growth of average earnings, which fell in real terms during the period by slightly over 4 per cent.

Table 6 **Structure of movements in average weekly earnings**[1]
Percent

| | Years ending October | | | |
|---|---|---|---|---|
| | 1972 | 1973 | 1974 | 1975 |
| Cost of living orders, wage adjustment orders | 4.1 | 9.1[3] | 11.9 | 4.5[3] |
| Other increases in awards and agreements[2] | 1.1 | 8.0 | 3.5 | 3.1 |
| Nominal weekly wage rates | 5.2 | 17.8 | 15.8 | 7.7 |
| Wage drift, etc.[2] | 4.6 | —2.8[4] | 2.8[4] | 3.4 |
| Average ordinary-time hourly earnings | 10.0 | 14.5[4] | 19.1[4] | 11.4 |
| Effects of changes in hours worked, etc[2] | —0.3 | 0.6 | —0.8 | —1.3 |
| Average weekly earnings | 9.7 | 15.2[4] | 18.1[4] | 10.0 |

1 Percentage contributions to changes in average weekly earnings.
2 Calculated as residual.
3 The percentage effect of some wage orders with "flat-rate" components are estimated.
4 Delays in payment of wage increases to Government employees may have significantly affected figures drawn from the Department of Labour's half-yearly survey.

*Source:* Yearbook; Monthly Abstract of Statistics.

Pre-tax profits of (incorporated) companies rose in nominal terms by only a marginal 1½ per cent during fiscal 1974/75. Reflecting partly more buoyant earlier trading conditions, company tax payments rose, however, by some 11½ per cent, implying an absolute fall in nominal after-tax income of about 4 per cent.[27] While this corresponds to the normal profit development during a period of cyclical slowdown, the system of price control, operated under the Stabilisation of Price Regulations, has probably also contributed to the squeeze on profits. In particular, companies were obliged to absorb a good part of the July 1974 Wage Adjustment Order. Although the costs stemming from subsequent Wage Orders, increases in Government charges and currency devaluations have been fully recoverable,[28] the profitability position appears

26 See page 25 below. The Industrial Commission is formally empowered to make 6-monthly orders to compensate fully for past cost-of-living increases. In practice, the Government has intervened on each occasion since last year to ensure that less than complete compensation was granted, in conformity with its policy, announced in late 1974, of gradually adjusting real incomes downward in line with the 10 per cent fall expected in real national income during the two years ended March 1976.

27 Although all companies now pay provisional income tax on a PAYE basis, there can still be a substantial time lag in the payment of terminal tax liabilities (see last year's Survey, page 41).

28 Except for producers of goods and services listed under Category A of the Price Regulations, who were required to absorb certain other increases. This category covers, however, a fairly limited range of key items whose prices are subject to official approval. The prices of other goods and services (Category B) are controlled through the regulation of profit margins.

**Table 7 Output and Expenditure[1]**

| | 1971 $ million | Percentage volume change from previous year | | | |
|---|---|---|---|---|---|
| | | 1972 | 1973 | 1974 | 1975 |
| Private consumption | 3,590 | 6 | 9½ | 4½ | —2¾ |
| Private gross fixed investment | 1,000 | 7¾ | 20 | 11 | —16 |
| *of which:* Dwellings | 260 | 18¾ | 25½ | 16 | —14[3] |
| Other | 740 | 3¾ | 17¾ | 8¾ | —17 |
| Public authority expenditure | 1,430 | 3¾ | —5¼ | 12¼ | 16 |
| Final domestic demand | 6,020 | 5¾ | 7½ | 7½ | —1 |
| Change in stocks[2] | 25 | —1 | 2 | 5 | —7¼ |
| Total domestic demand | 6,045 | 4¾ | 9½ | 12¼ | —7½ |
| Exports of goods and services | 1,470 | 5 | 3 | —3¼ | 3½ |
| Imports of goods and services | 1,440 | 9 | 17½ | 21 | —19½ |
| Foreign balance[2] | 30 | —1 | —4 | —7¼ | 7¾ |
| GROSS DOMESTIC PRODUCT | 6,075 | 3¾ | 5½ | 5½ | —½ |
| Effect of changes in terms of trade[2] | | 4 | 5¼ | —8 | —5 |
| GROSS NATIONAL INCOME | | 7¾ | 10½ | —2¼ | —5½ |

1 In the absence of quarterly national accounts and of constant price estimates of the components of domestic demand, this table is estimated on the basis of available partial indicators. Work undertaken by the Reserve Bank (see the Bank's Research Paper No. 13, June 1974) has been drawn on extensively.

2 Expressed as percentage of previous year's GDP.

3 The decline in dwellings construction in 1975 is based on data for building work put in place. Data for the number of dwelling units competed suggest a considerably less marked decline.

*Source:* Secretariat estimates.

to have been further eroded during 1975. There is, however, some evidence that a recovery may now be underway, at least in respect of those corporations engaged in export.[29] Unincorporated enterprise profits (other than farming) have been considerably less volatile, following relatively closely the growth of wages and salaries during the past three fiscal years.

*Domestic demand*

Influenced by a decline in real personal disposable income as well as various direct policy measures, private consumption is estimated to have fallen by about 3 per cent last year.[30] Seasonally adjusted, the volume of retail turnover peaked in the September 1974 quarter, after which a decline followed till toward mid-1975, whereafter there was some revival.[31] The volume of hire purchase sales (over one-half of the value of which is typically accounted for by motor vehicles) fell in volume throughout 1974 in seasonally adjusted terms, reflecting inter alia a tightening of hire purchase regulations, large increases in petrol prices and the increase in sales tax on larger vehicles. These

29 The accounts of public companies published during the three months ending November 1975 showed a 25 per cent fall in after-tax profits compared with a 21 per cent increase a year earlier. Reports published in the following three months (to February) showed a rise of 16 per cent, compared with a fall of 22 per cent in the previous year.

30 Official estimates of household disposable income are not available. Reserve Bank calculations indicate that personal disposable income (which includes non-incorporated entities as well as households) fell by 2½ per cent in real terms last year.

31 Devaluation may have temporarily stimulated consumption, especially sales of motor vehicles. Repayment during the June and September quarters of last year of $50 million collected under a compulsory savings scheme since the preceding December may also have played a role—though probably a minor one since this would have raised disposable incomes during the two quarters by an average of only about 1½ per cent.

sales subsequently picked up during the first half of last year—though still failing to reach their end-1973 level—before again falling slightly during the September quarter.

Following two years of particularly rapid expansion, private gross fixed investment is estimated to have declined by a sizeable 16 per cent in 1975. Within the housing sector, which experienced severe labour and materials bottlenecks, applications for construction permits began to fall off toward the end of 1973. The position was subsequently exacerbated by the shortage of loanable funds from mortgage institutions on account of the tightening of domestic liquidity following the balance of payments deterioration. Nevertheless, there has been a sufficient backlog of work-in-progress for completions to remain at a relatively high level.[32]

Business fixed investment is estimated to have fallen in volume by about 18 per cent last year, following a 9 per cent increase in 1974.[33] New orders placed abroad for machinery and equipment (imports account for about three-quarters of total such expenditure) began to fall off in early 1974 following a period of very heavy investment activity. However, on account of the particularly long delivery lags which developed during the world boom, the volume of these imports continued to rise throughout 1974 and only began declining last year. The liquidity squeeze which developed during 1974 and the later deterioration in corporate profitability have also affected businessmen's investment plans. A further important factor has been the pattern of farm investment which tends to mirror, with a relatively short lag, movements in farm incomes. Purchases of farm machinery and fertilizer fell substantially during fiscal 1974/75, but expenditure appears to have picked up during the latter part of last year.

Public sector expenditure on goods and services has been rising very rapidly—by an estimated 16 per cent in real terms last year. Counter-cyclical public works programmes to absorb the rise in unemployment account for the major part of the expansion of capital outlays which probably exceeded 30 per cent in volume terms.[34] The substantial increase also experienced by current expenditure can be largely attributed to increased employment in the public sector.

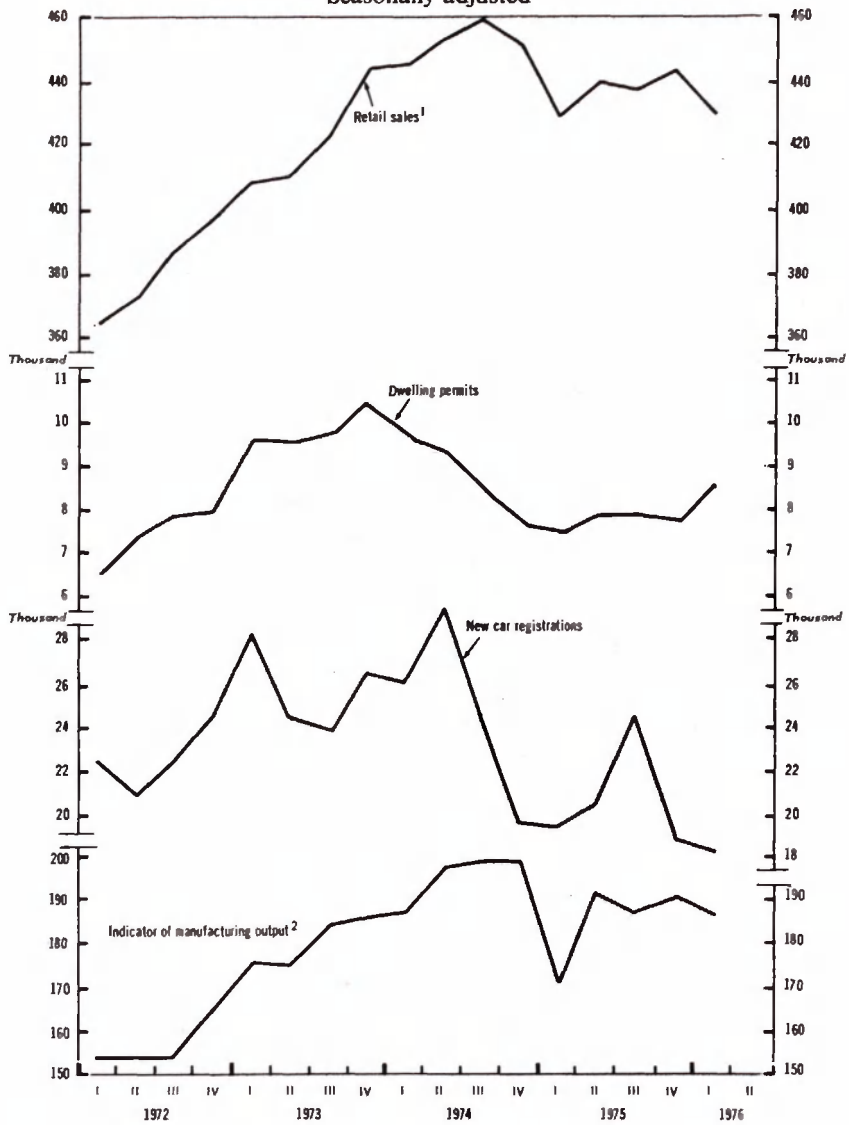
As in many other Member countries the recent stock cycle was particularly pronounced. Last year it is estimated that total inventories actually fell in volume, implying a turnround equivalent to some 7 per cent of GNP (though the effect of this on activity would have been considerably reduced by the import leakage). Stocks had continued to accumulate during 1974 after the weakening in private domestic demand, owing to the continuing arrival of imports. The build-up was particularly marked at the wholesale level, peaking in the first quarter of last year at an exceptionally high level in relation to turnover, before beginning to fall sharply. Manufacturing industry's stocks of raw materials also rose very rapidly, following a closely similar pattern to that of wholesale stocks, while holdings of finished goods continued to increase in volume till mid-1975. Among agricultural commodities wool stocks peaked around March 1975, while dairy industry stocks—particularly of skim milk powder—remained high throughout the year.

32 See, however, footnote 3 to Table 7.

33 The fall would have been even more marked except for investment in the development of the important Maui off-shore natural gas field which is being undertaken by a consortium which includes the New Zealand Government.

34 The direct labour costs of the special government relief work amounted to about $15 million in 1975.

*Diagram 3* **Current Economic Indicators**
Seasonally adjusted




1 In 1957/1958 prices.
2 Index of "other manufacturing" production (1963 = 100) compiled by Department of Trade and Industry, covering approximately one-half of value added in manufacturing. The main industries excluded are: food, metal products (excl. machinery and transport equipment), wood and cork products, printing and publishing.

*Source:* Monthly Abstract of Statistics; Department of Trade and Industry; Secretariat estimates.

## *Output and employment*

Preliminary calculations suggest that total output fell by about ½ per cent last year, following a relatively rapid increase of 5½ per cent in 1974. Latest available national accounts estimates of GDP show that agricultural

production fell by around 3½ per cent during fiscal 1974/75 (following an 8 per cent decline during the preceding year), while the output of other sectors rose by just over 3 per cent. Agricultural output has suffered recently from adverse weather conditions as well as an earlier stagnation of investment which resulted inter alia from an unsatisfactory development of farm incomes. The Reserve Bank index of manufacturing output (a sector which accounts for about one-quarter of total GDP) declined after mid-1974 as did the activity of the distributive trades (another important component of GDP). The trend through 1975 seems to have been relatively flat; and although some quarterly increases have occurred, most indicators have shown a decline for the year as a whole.[35]

Labour market conditions began to weaken from around the final quarter of 1974. Unemployment rose quite sharply at the beginning of 1975 but has since proceeded more steadily to reach levels comparable with the 1967/68 recession—the worst experienced by New Zealand in the postwar period. Nevertheless, New Zealand has succeeded in keeping unemployment—which in March 1976 amounted seasonally adjusted to 5.7 thousand, equivalent to only about 0.5 per cent of the labour force[36]—to a remarkably low level.[37] During the same time notified vacancies have declined from a seasonally-adjusted peak of 5½ thousand in September 1975 to just over 2 thousand. Employment on special public works programmes (very largely under schemes funded by the central authorities) has been expanding rapidly to absorb at present some 4½ thousand (0.4 per cent of the labour force), a substantially larger figure than during 1968. In addition, net immigration, which had continued at a high level during 1974 reflecting probably the fact that the New Zealand cycle was out of phase with the rest of the world, fell off very rapidly during the middle two quarters of last year.[38] Nevertheless, it would seem that, against a background of New Zealand's traditionally tight labour market situation (in particular during the most recent boom) firms have been hesitant to retrench staff.

During the 12 months to mid-October 1975 the overall growth rate of the labour force dropped to only 0.8 per cent compared with 3.7 and 2.7 per cent during the two preceding years—the slowdown being particularly marked among females. During the same period, employment increased by a mere 0.5 per cent, with the numbers in private employment actually falling by 2.4 per cent (in manufacturing by 3.1 per cent) the largest fall noted since the 1967/68 recession. On the other hand, government employment (including the special works programmes) rose by no less than 8.7 per cent as some 23 thousand full- and part-time positions were created in the public sector.

35 Production of household durables appears to have held up well, probably on account of the continuing high level of dwellings completions.

36 Compared with a long-term average of 0.3 per cent.

37 See last year's Survey (pages 17-19) for a discussion of New Zealand unemployment data. Of course, as in other countries, the growth of slack may be underestimated by the rise in registered unemployment due inter alia to labour hoarding and to certain categories' abstaining from registering. According to estimates by the Reserve Bank, the difference between actual and potential employment in March amounted to 4.7 per cent of the labour force.

38 Although the seasonally-adjusted net inflow picked up again in the final quarter of the year, a substantial net outflow was recorded in the first quarter of 1976. The Government has announced measures to restrain immigration and at present is seeking to limit the net annual inflow to 5 thousand persons, which is less than one-half of the average inflow over the past dozen years.

**Table 8 Labour market indicators**

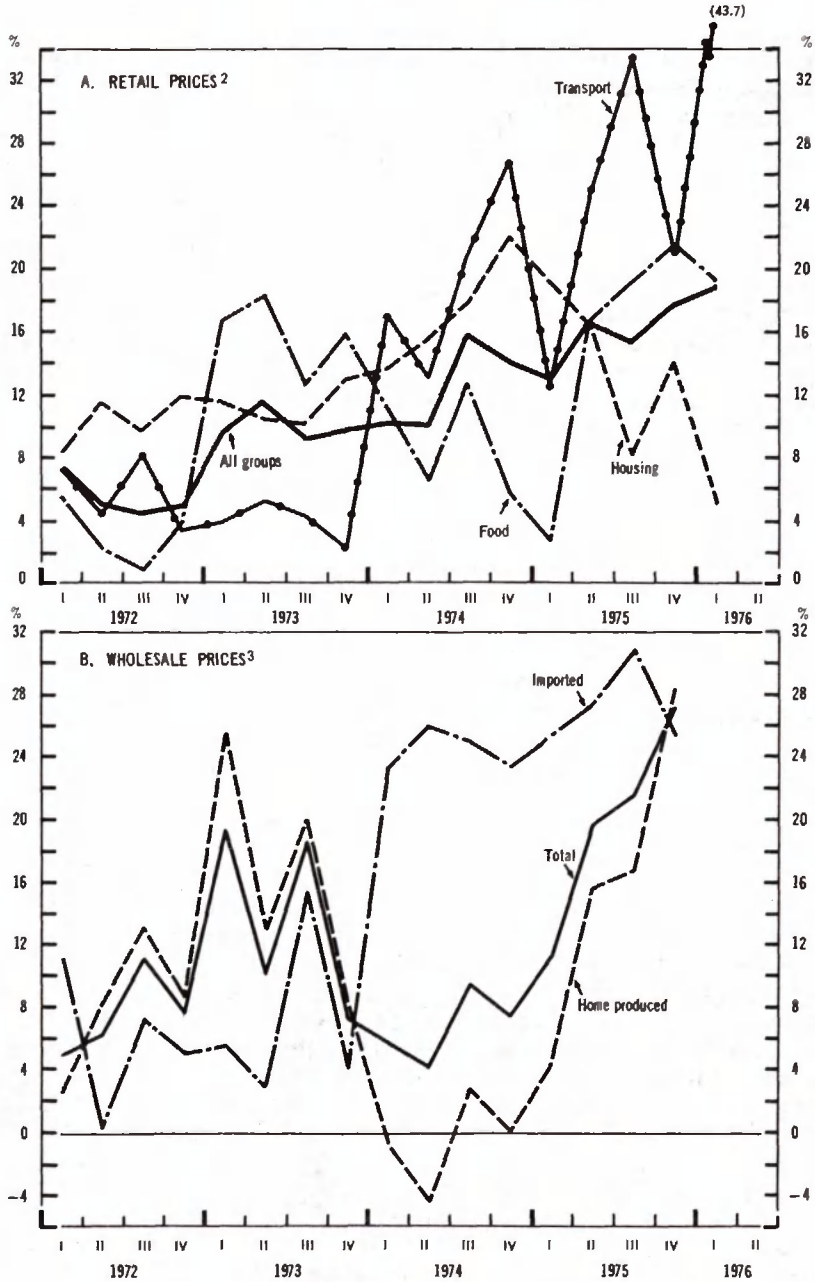
| Average for Year | Labour Force as at mid-April ('000) | Registered unemployment | | Registered unemployment plus persons employed on special Govt & Local Authority work | |
|---|---|---|---|---|---|
| | | Number ('000) | Percent of Labour Force | Number ('000) | Percent of Labour Force |
| 1964 | 957.9 | 0.65 | 0.07 | 0.65 | 0.07 |
| 1965 | 991.4 | 0.51 | 0.05 | 0.61 | 0.06 |
| 1966 | 1 026.0 | 0.46 | 0.05 | 0.53 | 0.05 |
| 1967 | 1 052.5 | 3.85 | 0.37 | 4.90 | 0.47 |
| 1968 | 1 043.4 | 6.88 | 0.66 | 8.45 | 0.81 |
| 1969 | 1 061.2 | 2.93 | 0.28 | 3.28 | 0.31 |
| 1970 | 1 090.7 | 1.60 | 0.15 | 1.77 | 0.16 |
| 1971 | 1 112.0 | 3.12 | 0.28 | 3.48 | 0.31 |
| 1972 | 1 122.9 | 5.68 | 0.51 | 7.24 | 0.64 |
| 1973 | 1 150.2 | 2.32 | 0.20 | 3.15 | 0.27 |
| 1974 | 1 191.3 | 0.96 | 0.08 | 1.24 | 0.10 |
| 1975 | 1 207.7 | 4.17 | 0.35 | 7.26 | 0.60 |
| *Monthly (Seasonally adjusted)*[1] | | | | | |
| 1975 January | | 3.24 | 0.27 | 3.98 | 0.33 |
| February | | 4.14 | 0.34 | 4.37 | 0.36 |
| March | | 3.97 | 0.33 | 5.29 | 0.44 |
| April | | 4.23 | 0.35 | 6.37 | 0.53 |
| May | | 3.81 | 0.32 | 6.30 | 0.52 |
| June | | 3.95 | 0.33 | 6.30 | 0.52 |
| July | | 3.87 | 0.32 | 6.67 | 0.55 |
| August | | 4.57 | 0.38 | 7.23 | 0.60 |
| September | | 4.71 | 0.39 | 8.00 | 0.66 |
| October | | 3.94 | 0.33 | 8.55 | 0.71 |
| November | | 5.40 | 0.45 | 11.78 | 0.98 |
| December | | 5.99 | 0.50 | 11.98 | 0.99 |
| 1976 January | | 6.53 | 0.54 | 12.66 | 1.05 |
| February | | 7.24 | 0.60 | 13.42 | 1.11 |
| March | | 5.72 | 0.47 | 13.74 | 1.14 |

1 Percentages are calculated with respect to the April 1975 Labour Force.
*Source:* Monthly Abstract of Statistics, New Zealand submission to the OECD.

*Price developments*

Despite the operation of price control, the rate of inflation—as measured by the consumer price index—has been on a rising trend since end-1972. In the first half of 1976, the index will probably show an annual rate of increase of some 18-19 per cent, one of the highest in the OECD area; but this overstates the underlying rate of inflation, because of changes in indirect taxes and subsidies which have had a significant effect on the index. Whereas in 1974 the growth rate of the food component had slowed down, it re-accelerated throughout last year, although the average rate for the year (10.6 per cent) remained significantly below that for the total index (14.7 per cent). The fastest growing elements of the CPI were transportation (reflecting inter alia the steep increase in petrol prices) and housing (in response to the earlier intense pressures on the building industry's resources). It is estimated that recent decisions to increase certain Government charges and to remove certain food subsidies will raise the index by around 4 per cent, mostly in the first half of 1976. In the March quarter, the index rose by 4.4 per cent, of which 1 per

*Diagram 4* **Domestic price developments**[1]




1 Percentage change on preceding quarter at annual rate.
2 From the beginning of 1975 the index is based on a revised regimen.
3 Commodities used by domestic industry and consumers. Data for 1975 are provisional.

*Source :* Monthly Abstract of Statistics.

cent may have been due to the direct effects of Government action on charges and subsidies.

A major contributing factor to this deteriorating price performance has been the impact of international price movements, against which New Zealand has only limited scope to undertake countervailing measures. In 1972 and 1973 these pressures were particularly intense on the exports side (the US dollar index for merchandise exports rising by around 27 and 45 per cent respectively) while on the imports side pressures were also very strong in 1973 and continued into 1974 (the US dollar price index rose during the two years by 22 and 33 per cent respectively). In this regard a distinction can be made with the 1970/71 period, when inflationary pressures could be attributed largely to domestic wage developments. Last year, as pressure from international prices eased, the effect of the devaluations of the New Zealand dollar (in September 1974 and August 1975) contributed to the sharp increase in domestic prices of imports. At the wholesale level the price of imported commodities rose year-on-year by 26 per cent (in terms of domestic currency) while the increase for home-produced goods was less than 8 per cent.

*Economic policy*

From late 1974 the broad orientation of policy, following the collapse of the export boom and the adverse movement in trade prices, was directed to maintaining levels of domestic activity. To this end, there was an expansion of public sector expenditure to counteract the liquidity effects of the current account deficit, as well as specific measures to absorb unemployment. Special measures were taken to counter the deterioration in the foreign balance, and tighter control was exercised over wage and price developments in an effort to contain the strong inflationary pressures. However, the recession in New Zealand's principal export markets proved more severe than this strategy—which was sustained by large-scale borrowing abroad—had presupposed, and the authorities were obliged to adopt a progressively more restrictive stance. This process, foreshadowed by the former Government, has been pursued and intensified under the new Government elected in November last year. A number of measures have been taken to cut public expenditure and in the monetary policy sphere a more active interest rate policy has been initiated.

The fiscal 1974/75 Budget[39], introduced in May 1974, came at a time when the New Zealand economy was in the process of adjusting to the impact of the current account deterioration and followed a period of intense domestic demand and inflationary pressures. As originally formulated, net expenditure was budgeted to increase by 17.9 per cent and receipts by 24.2 per cent, thus reducing the deficit before borrowing to about 1.9 per cent of the previous year's GNP compared with the 3.3 per cent actual outcome for the 1973/74 Budget.

At the time, the restraining influence from the balance of payments was compatible with the Budget orientation, and indeed expenditure cuts were subsequently announced in August 1974. However, as the deflationary influence from the external account intensified and domestic demand weakened, policy swung over to a more expansionary tack in late 1974. In addition, measures

39 The New Zealand fiscal year runs from April to March.

were taken to assist the agricultural and agricultural-servicing sectors.[40] In the event, expenditure increased by about 30 per cent—the extra outlays apparently being largely concentrated in capital works—while revenue rose by just over 26 per cent, resulting in a Budget deficit somewhat larger than originally estimated[41]. After taking into account payments and receipts abroad, the cash balance on domestic transactions (that is, the Budget domestic cash deficit which is a measure of the impact on domestic liquidity) yielded a deficit equivalent to some 3 per cent of previous year's GNP. Debt management reinforced this expansionary impact as net repayments were made of internal borrowing from the private sector.

Continuing the policy stance initiated mid-way through the preceding financial year, the 1975/76 Budget, introduced in May 1975, provided for a strong countercyclical expansion of government expenditure, including specific labour market measures, to sustain the level of domestic activity and employment. At the same time, income tax concessions were introduced to partly compensate for continuation of the policy of restricting wage rate increases to below rises in the cost of living.[42] In an effort to improve the external account, action was taken to assist the agricultural exporting sector and to boost non-traditional exports,[43] while sales taxes were raised on certain less essential items with a high import content and fuel prices were increased. In all, increases of 20.1 per cent in expenditure (including the provision for supplementary estimates) and of 10.3 per cent in income were budgeted for, resulting in an estimated deficit before borrowing equivalent to some 8.1 per cent of the previous year's GNP.

In fact, the growth rate of expenditure, partly due to carry-through from earlier commitments, rapidly outstripped the forecast, reaching a peak during the June 1975 quarter of almost 50 per cent over the corresponding period of 1974. As the deficit in the current account of the balance of payments continued to be substantial, requiring resort to large-scale foreign borrowing, a series of measures have been taken since late last year to reduce the Budget

40 $50 million were provided for direct supplementation of meat and wool prices, with any further requirement to be advanced by the Reserve Bank. In the event, wool prices firmed more rapidly than expected and little supplementation for sales below the floor price of 124 cents/kilogram has been necessary. Supplementation of beef and lamb prices was no longer necessary by February 1976, but mutton prices still needed support. A permanent scheme for meat income stabilisation was agreed in 1975, and the long-standing dairy scheme was both modified and extended in coverage. Direct assistance with farm input costs was also provided—notably subsidies on fertiliser purchases and noxious weed control.

41 This estimate of the growth of expenditure includes financial transfers to the Development Finance Corporation, the Housing Corporation and the Rural Banking and Finance Corporation. In the 1975/76 Budget this item was excluded from expenditure and included as an offset against domestic borrowing. According to the new definition, 1974/75 Budget actual expenditure rose by just over 26 per cent.

42 Under the Wage Adjustment Regulations introduced in 1974, the Government intervened to impose a Wage Order in July 1975 providing for an 11 cents per hour flat-rate increase. This Order, which amounted to an average increase of about 4½ per cent in wage rates, absorbed the preceding January Order, thus reducing the net increase to about 1½ per cent. However, the Order also provided for a 2¼ per cent freely negotiable element. During the preceding six months the increase in the Consumers Price Index amounted to 7.2 per cent. At the same time the Budget reduced income tax rates for all but the highest income earners, which is estimated to have been equivalent to an increase in gross wages of 3-4 per cent.

43 The export incentive scheme for manufactures provides for the deduction from assessable income of a percentage of the increase in value of qualifying exports over a base period. The amount of this was raised from 20 to 25 per cent. Provisions were also introduced for the further deduction of 15 per cent of the increase in value of qualifying exports during the first two years of developing new markets as well as for according grants equal to 40 per cent of expenditure incurred in developing new markets.

stimulus. The measures initially taken included raising a number of government charges[44], a reduction in consumer subsidies on a number of food products and a further sharp increase in petrol prices. In February this year a freeze was placed on local authority capital works till September. In April a further package of measures was announced, covering reductions in expenditure, increases in government charges and a freezing of public service personnel. However, despite the measures taken since last December, which are estimated to have reduced the Budget deficit by some $ 50 million below what it would have been otherwise, the deficit (including miscellaneous financing transactions) is preliminarily estimated to have amounted in fiscal 1975/76 to the equivalent of about 12 per cent of the previous year's GNP, with expenditure having increased by some 28 per cent. However, the liquidity effect of this substantial boost to private incomes was considerably attenuated by the large volume of domestic borrowing by the government sector, mainly from the trading banks (Table 10).

**Table 9 Central government budget[1]**
$ million

| | 1971 | 1972 | 1973 | 1974 | 1975[2] |
|---|---|---|---|---|---|
| Income tax | 1 161 | 1 314 | 1 698 | 2 136 | 2 300 |
| Sales tax, customs etc. | 338 | 381 | 452 | 510 | 553 |
| Other taxes | 208 | 231 | 245 | 219 | 297 |
| Total taxation | 1 707 | 1 926 | 2 395 | 2 865 | 3 150 |
| Other | 83 | 87 | —3 | 155 | 150 |
| TOTAL REVENUE | 1 790 | 2 013 | 2 392 | 3 020 | 3 300 |
| TOTAL NET EXPENDITURE [3] | 1 790 | 2 140 | 2 547 | 3 214 | 4 112 |
| Revenue balance | 0 | —127 | —155 | —194 | —812 |
| Miscellaneous financing transactions (—) [4] | —72 | —79 | —87 | —197 | —323 |
| BORROWING REQUIREMENT | 72 | 206 | 242 | 391 | 1 135 |
| Borrowing (net) [4]: domestic | 86 | 339 | 263 | 140 | |
| abroad | —16 | —120 | —14 | 246 | |
| CASH SURPLUS (+) or DEFICIT (—) | —3 | 13 | 7 | —4 | |

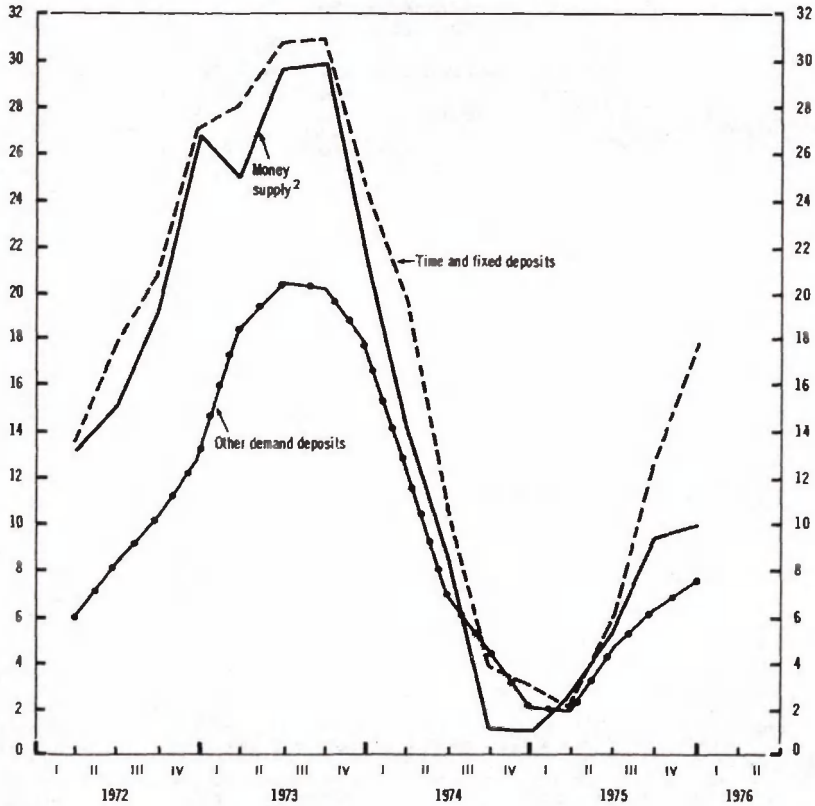
1 Outcome fiscal years beginning April 1.
2 Preliminary.
3 Net of trading and departmental receipts.
4 Transfers to the Development Finance Corporation, Housing Corporation and Rural Banking and Finance Corporation.
5 Net of repayments and including net sales of investments.
*Source:* Budget papers.

The greater reliance on domestic sources of borrowing last year by the Government led to a net decline in private sector primary liquidity. However, the money supply rose at a moderate rate after having slowed down substantially during 1974 (see Diagram 5). Helped by special deposits made by the Reserve Bank with the trading banks (which reached a maximum of $ 90 million in March last year), as well as the injection of liquidity from the central government budget deficit which exceeded the external deficit on private transactions,

44 These covered mainly charges for railways, electricity and Post Office services, which had remained frozen for three years. It is intended that in future the costs of providing public services should be fully covered.

the banks were able substantially to increase their reserve asset holdings (particularly of government securities) as the demand for funds from the business sector declined with the slowdown in economic activity. Claims on the government sector increased substantially. Deposits in both the trading and savings banks rose strongly during the year.

*Diagram 5* **Monetary Indicators**[1]
Percentage change




1 Percentage change over corresponding quarter of preceding year. The institutions covered are the trading and savings banks, stock and station agents, finance companies and official short-term money market dealers.

2 Defined as currency in circulation outside the banks plus demand deposits in the trading banks.

*Source:* Reserve Bank Bulletin.

Implementation of the system of monetary policy control based on the Reserve Assets Ratio scheme which was introduced in 1973 (see last year's Survey page 70) has been rendered difficult by the large swings in the Budget and external balances. Accordingly, during most of the period under review policy has relied primarily on the more traditional methods of direct control. However, since mid-1975 the reserve asset ratios applying to the trading banks have been increased broadly in line with changes in their total reserve assets, so that their margin of free reserves has remained fairly steady. Although

free reserves have been quite small in recent months, it does not appear that this has constrained the banks' lending activities—the demand for credit has been weak and the ratio of lending to total credit limits has been declining fairly steadily over the last year. In early March this year a series of measures was announced aimed inter alia at improving the efficiency of monetary management through a more active interest rate policy. The Interest on Deposit Regulations were abolished, the yield on Government securities raised and the government security holdings ratio applying to the savings banks reduced.

**Table 10 Factors influencing private sector primary liquidity[1]**
**$ million**

| Calendar year | Budget balance after borrowing[2] | Reserve bank transactions | | | | Total |
|---|---|---|---|---|---|---|
| | | Foreign sector[3] | Financial institutions[4] | Other[5] | Total | |
| 1971 | —242.2 | 237.9 | —30.3 | 0.8 | 208.4 | —33.8 |
| 1972 | —287.4 | 509.4 | —1.2 | —136.8 | 371.4 | 84.0 |
| 1973 | —124.8 | 332.7 | —0.1 | —187.4 | 145.2 | 20.4 |
| 1974 | 424.8 | —438.2 | 15.0 | 145.9 | —277.3 | 147.5 |
| 1975 | 231.7 | —412.1 | —6.2 | 137.6 | —280.7 | —49.0 |
| *Quarters* | | | | | | |
| 1973 I | —120.7 | 225.0 | 6.5 | —102.8 | 128.7 | 8.0 |
| II | —207.1 | 128.4 | —3.6 | —22.1 | 102.7 | —104.4 |
| III | 197.1 | —26.4 | 8.6 | —56.9 | —74.7 | 122.4 |
| IV | 5.9 | 5.7 | —11.6 | —5.6 | —11.5 | —5.6 |
| 1974 I | —97.8 | 62.0 | 10.9 | —1.7 | 71.2 | —26.6 |
| II | 165.1 | —173.4 | —4.8 | 4.3 | —173.9 | —8.8 |
| III | 106.6 | —214.8 | 22.4 | 83.1 | —109.3 | —2.7 |
| IV | 250.9 | —112.0 | —13.5 | 60.2 | —65.3 | 185.6 |
| 1975 I | —245.5 | 47.8 | 75.4 | 3.4 | 126.6 | —118.9 |
| II | 253.6 | —148.5 | —90.2 | 46.9 | —191.8 | 61.8 |
| III | —11.9 | —201.7 | 8.5 | 86.8 | —106.4 | —118.3 |
| IV | 235.5 | —109.7 | 0.1 | 0.5 | —109.1 | 126.4 |

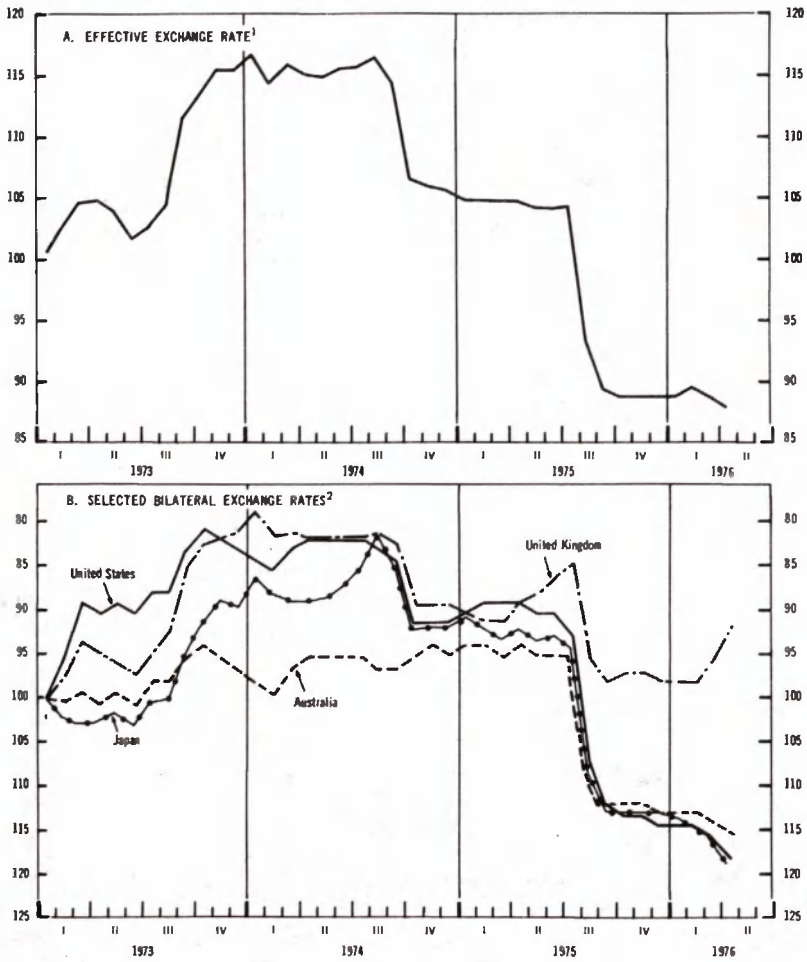
1 A negative sign implies a net cash withdrawal.
2 Refers to domestic cash balance (that is, excluding foreign transactions) after borrowing from the private sector.
3 Equals net purchases of foreign exchange by the Reserve Bank from trading banks plus changes in net advances by the Reserve Bank to the Producer Boards.
4 Changes in advances by the Reserve Bank as lender of last resort to the trading banks and money market.
5 Changes in private sector demand and time deposits at the Reserve Bank (excluding banks' demand deposits).
*Source:* M.J. Pope and D. Grindell, "New Quarterly Data for Stabilisation Purposes", Reserve Bank of New Zealand Research Paper No. 15, December 1974.

Over the past two years a number of measures have been taken to supplement the more traditional fiscal and monetary policies. Direct wage and price controls operated under the Wage Adjustment Regulations and the Stabilisation of Prices Regulations as well as the Commerce Act respectively have formed an important element of domestic anti-inflationary policy. On the external side, the New Zealand currency has been devalued on two occasions (in September 1974 by 9 per cent and in August 1975 by 15 per cent),[45] the

45 In general, New Zealand's day-to-day exchange rate policy since the advent of generalised floating has been to maintain a broadly constant effective rate for the NZ dollar vis-à-vis a basket of major currencies. When the authorities have judged that an adjustment was appropriate (as in the case of the two devaluations) a discrete change has been made.

last-mentioned adjustment being essentially undertaken to boost the incomes of agricultural exporters, and measures have been taken to stimulate exports. As mentioned earlier, an import deposit scheme, applicable to about 7½ per cent of merchandise imports, was introduced in February this year.

*Diagram 6* **Exchange Rate Developments**
Indices : January 1973 = 100




1 The country weights are derived from trade data for 1972.
2 Foreign currency units per New Zealand dollar.
*Source :* Secretariat estimates.

The dairy industry stabilisation scheme, which has been in operation since the War, was extended last year from milk fat to cover solids-not-fat products at the same time as the range of permissible upward movements over the previous season's price was increased from 5 to 10 per cent. Agreement has been reached with the Meat Board, which had intervened directly in the

market in 1975, for a permanent price stabilisation scheme, but the relevant legislation has not yet been enacted. A stabilisation scheme for the wool industry was also announced recently. Both the meat and wool schemes incorporate minimum prices, below which supplementation from stabilisation accounts will take place, and "trigger" levels, above which 50 per cent of returns are paid into the stabilisation accounts. In the case of meat, these 50 per cent levies are intended to finance supplementation payments, with the account to be self-balancing over time. For wool, the stabilisation account will be funded by a levy on total returns, fixed for the coming season at 3 per cent; any separate levies above the "trigger" level will be paid into individual growers' accounts at the Reserve Bank, where they will normally be frozen for five years. The Wool Marketing Corporation intervened extensively during the 1974/75 season under the Minimum Prices Plan when the average price fell to 91.8 cents per kilo. The Corporation's stockpile rose from 20 thousand bales at the beginning of the season (in July 1974) to a peak of 270 thousand in March last year—equivalent to about one-fifth of annual auction sales.[46] With the subsequent improvement in prices (during the first nine months of the present season the average price had risen to 151.4 cents per kilo), these holdings were substantially drawn down in the 1975/76 season and at the end of March this year amounted to some 83 thousand bales.[47]

## III PROSPECTS AND CONCLUSIONS

### *Short-term prospects*

The extent and timing of the improvement in New Zealand's foreign account will be a crucial determinant of the recovery. This improvement would provide a direct stimulus to the domestic economy as well as enabling some relaxation of the present constraints on demand management policy. There appears to be evidence that the current deficit is shrinking, but there is likely to be a substantial lag before the full effect of the recovery in the world economy is felt domestically. Despite a marked tightening of policy, the Budget is likely to continue providing a net stimulus to the economy. Nevertheless, domestic demand is forecast to fall sharply. A marked weakening in the labour market seems inevitable, while the rate of inflation is expected to rise on average this year, peaking around the June quarter.

As explained earlier, policy has been swinging over to a progressively more restrictive stance; nevertheless the size of the Budget deficit (including miscellaneous financing transactions) which has developed as a consequence of the recession and the measures taken since 1974 is such that, even taking into account recent restrictive action, it could still be about 8 per cent of GNP in fiscal 1976/77[48]. Despite the continuation of the cut-back in government

46 This was, however, a small operation compared with the 1966/67 season, when 700 thousand bales, or 40 per cent of total offerings, were purchased.

47 The minimum ("floor") price for the present season was originally fixed at 108 cents per kilo but then raised to 124 cents to take account of the devaluation. The Corporation has supported the market below the floor price, making deficiency ("supplementation") payments to growers of $2.3 million from January to June 1975 and $5.1 million subsequently to February this year.

48 At the end of last year it was estimated that under unchanged policies the fiscal 1976/77 Budget would yield a deficit of about $1 400 million. The various measures since announced could reduce this figure by up to $600 million.

Table 11 **Output, Expenditure and Price Forecasts**
Percentage changes

| | 1975 | 1976 |
|---|---|---|
| Private consumption | —2¾ | —4 |
| Private gross fixed investment | —16 | —12 |
| Public authority expenditure | 16 | —5 |
| Final domestic demand | —1 | —5½ |
| Change in stocks[1] | (—7¼) | (—1½) |
| Total domestic demand | —7½ | —7 |
| Exports of goods and services | 3½ | 4 |
| Imports of goods and services | —19½ | —8½ |
| Foreign balance[1] | 7¾ | 3½ |
| GROSS DOMESTIC PRODUCT | —½ | —3½ |
| Effect of changes in terms of trade[1] | —5 | 1½ |
| GROSS NATIONAL INCOME | —5½ | —2½ |
| Consumer Price Index | 14½ | 18 |
| Current account balance ($ US million) | — 1457 | — 750 |

1 Expressed as percentage of previous year's GDP.
*Source:* Secretariat estimates.

expenditure — both on current and capital account — the volume of public sector current expenditure on goods and services is likely to remain about unchanged on average in 1976, given the substantial "overhang" from the very rapid growth experienced last year. It seems likely that monetary policy, in conjunction with a continuation of direct controls over prices and incomes, will be required to carry the burden of restraint at least in the short term. It is as yet too early to assess the likely impact of the decision to free interest rates; indeed, the full implications of this measure will take some time to become apparent.

Following their sharp recovery from the very low levels reached at the beginning of last year, the volume of agricultural exports is expected to increase this year by around 4 per cent. The main impetus will be provided by shipments of wool, drawn from the Wool Marketing Corporation's stockpile which was still substantial at the beginning of this year. On the other hand, a major uncertainty is posed by the present glut of skim milk powder on world markets, which has led to the building up of record stocks in New Zealand. Manufactured exports are again expected to fare well this year, assisted by last year's devaluation and other measures taken to stimulate exports; the continued depressed state of the domestic market should provide a further incentive to step up exports.

With overseas demand picking up, the strong recovery of farm incomes —particularly of sheep farmers—is expected to continue this year. Boosted by last year's devaluation, net incomes could rise by around 30 per cent. Similarly, companies engaged in exporting will benefit from the devaluation as well as other incentives provided in order to promote the shift of resources into the export sector. But corporations whose activity is oriented to the domestic market would appear to have limited scope for improving their profit position.

According to a recent announcement, a 7 per cent increase in wages will be granted in the forthcoming Cost of Living Order in June, which might represent about two-thirds compensation for increases in consumer prices

during the present half year.[49] Taken in conjunction with the January order, which was equivalent to a 3.2 per cent increase, this would imply that award wages will increase by about 10 per cent this year. For 1976 as a whole, the change over the previous year would be about the same. However, given the newly-imposed wage freeze, and the present outlook for labour market conditions, other movements are likely to be small and offsetting, so that average weekly earnings could also rise by about 10 per cent on average this year. In real terms, however, this would imply a decline of about 7 per cent, following a year of virtually no change; and, in the absence of further tax changes, the decline in household real disposable incomes will be somewhat greater. Although offset by stronger income increases in other sectors, the volume of private consumption seems certain to decline sharply as a result of these income movements. While little change in the savings ratio can be expected, an uncertainty is posed by households' reaction to the increase in interest rates, one of the stated objectives of which is to promote savings. In all, the fall of consumer outlays may be of the order of 4 per cent for the year.

The decline in business investment could be arrested later in the year, although there will be a sizeable volume decline for the year. In particular, farm investment should revive with the pick-up in that sector's incomes. Perhaps somewhat surprisingly, a business opinion survey carried out late last year pointed to some improvement in investment plans in the manufacturing and building sectors. A further strengthening of business confidence has since been reported, though this is probably concentrated on the larger firms and those engaged in exporting. One of the objectives of the recent monetary package is to increase the funds available for housing finance. As indicated earlier, housing completions have held up well during the downturn, though data on work-in-place cast some doubt on this sector's underlying strength. Given the unfavourable prospects for private incomes this year, housing construction is likely to be dependent on projects already under way, and a sharp fall in the volume of construction is forecast.

Stocks of primary products are likely to be reduced this year—particularly the wool stockpile held by the Wool Marketing Corporation, while holdings of skim milk powder are being sold off because of the risk of deterioration of this commodity. Wholesale trade stocks at the end of 1975 were still very high in relation to turnover, though retail stocks appeared to be at a more normal level. According to a survey carried out late last year the majority of manufacturers considered their inventories position to be satisfactory (in respect to both raw materials and finished goods). While this would suggest that the destocking phase of the cycle may have come to an end, it would seem unlikely, given the depressed prospects for domestic activity, that any significant restocking of non-farm products will take place this year.

In all, the fall in total domestic demand this year could be of the order of 7 per cent in volume terms—about the same drop as in 1975. However, while in 1975 the decline very largely reflected a turnround in the inventory cycle, with final domestic demand falling by only about 1 per cent, this year final demand could decline by around 5½ per cent. The demand for imports should accordingly remain very weak, and a volume decline of the order of about 9 per cent is forecast. The demand for imports is also likely to be affected by the tightening of hire purchase controls and the increase in fuel

49 The 7 per cent Order, effective from 25th June, is subject to a $7 per week maximum. Remuneration rates are subsequently to remain frozen until mid-May 1977. However, the Federation of Labour or the Employers Federation may apply for a further wage order to a new independent wages tribunal which it is intended to set up and whose over-riding criterion in fixing awards is to be the promotion of economic stability in New Zealand.

prices. In addition, the value of licences issued for the 1976/77 year—affecting some 30 per cent of total imports—has not been increased over that for 1975/76, implying a volume reduction. On the other hand, the import deposit scheme introduced earlier this year seems likely to have little impact on import demand, either through its cost or liquidity effects.[50]

Given the sombre prospects for total output, which may fall by some 3 per cent, conditions in the labour market will in all likelihood deteriorate quite sharply this year, despite stagnation of the labour force and a cutback in immigration. Indeed, a turning point may not be reached before the middle of next year. The numbers engaged on special public works programmes—some 4½ thousand at present—will probably not increase much; and a freeze has been placed on public service employment which over the recent past has expanded very rapidly while private sector employment has declined. Unemployment seems certain, therefore, to exceed the previous post-war peak.

Consumer prices seem likely on average to rise by about 18 per cent in 1976, with the peak rate occurring about mid-year. This acceleration during the first half is mainly attributable to two factors—the continuing impact of last year's devaluation, which could add about 5 percentage points to the index, and the reduction of Government subsidies and increases in public sector charges which together could have an effect of a similar order. Thereafter, there should be a marked deceleration with the annual rate declining to perhaps 10 per cent by the end of the year. Given the severe profit squeeze which the company sector has experienced, the outlook for a further unfavourable development of unit labour costs (particularly on account of a poor productivity performance) will put considerable pressure on the system of price control—particularly if a revival of business investment on the part of those companies oriented to the domestic market is to be hoped for.

Together with the expected improvement in the real foreign balance on goods and services, the terms of trade are forecast to improve in 1976. Though the extent of this is highly uncertain, an improvement of the order of 10 per cent seems possible given in particular the very sharp increase in wool prices which has taken place. This would still leave New Zealand's terms of trade substantially below the historical average. Increased debt servicing charges due to the large-scale overseas borrowing during the past two years, will lead to a sizeable increase in the net services deficit. On balance the current account is forecast to show a substantial improvement, with the deficit perhaps being reduced to approximately the equivalent of around 7 per cent of GDP, which is still a considerable figure by historical standards.

### *Conclusions*

The New Zealand economy has been facing acute problems in the recent period. While these problems are largely external in origin, their intensity also reflects the failure to control domestic demand in 1973. Current developments need to be seen in the context of the adjustment of the economy to an exceptionally steep decline in the terms of trade, amounting to some 40 per cent

50 The costs to importers of goods covered by the scheme are estimated to rise by about 2 per cent. On the basis of econometric evidence this could reduce the volume of imports covered by the scheme by about 0.7 per cent, and hence total import volumes by about 0.05 per cent—equivalent to a reduction in the import bill of about NZ$ 1 million. The likely effect on domestic liquidity is perhaps more significant—the maximum amount which will be deposited at the Reserve Bank under the scheme is estimated at about $32 million, which would represent a reduction in the narrowly-defined money supply of about 2 per cent.

in two years—the equivalent of 12 per cent of gross national income. Until well into 1975, the strategy adopted—based on the assumption that the world recession would be short-lived—envisaged a relatively gradual adjustment. Fiscal policy was therefore actively used to support the level of domestic activity in the face of the powerful deflationary forces from abroad. In some respects, this strategy was successful: GDP increased by 5½ per cent in 1974 and fell only slightly in 1975, while the unemployment rate was kept down to around ½ per cent. But the balance of payments deteriorated more than expected, partly on account of the unexpected severity of the recession abroad and the particularly sharp terms-of-trade deterioration: New Zealand's current deficit was the biggest, in relative terms, of all OECD countries in both 1974 and 1975, and foreign indebtedness was built up rapidly.

The new government elected in November 1975 therefore opted for a speeding-up of the adjustment process, giving priority to correcting the external payments imbalance. Reduction of the budget deficit, which amounted to some 10 per cent of GDP in the fiscal year just ended, is also regarded as a policy target in itself, and commands a high degree of priority. Demand management policy was accordingly switched to a considerably more restrictive stance, involving in particular cuts in public expenditure, increased charges and reductions in subsidies. With the world economy recovering and New Zealand's terms of trade starting to improve somewhat, the current deficit has narrowed in recent months. The extent of the improvement this year will depend very largely on terms of trade developments; the current deficit might be roughly halved, though it would in that case still be of the order of 7 per cent of GDP.

As far as the domestic economy is concerned, 1976 will be an unfavourable year. Final domestic demand is likely to fall more than in 1975, real incomes will continue to decline and total output seems certain to fall somewhat. Maintenance of near-full employment, traditionally an over-riding objective of policy in New Zealand, will for a time be accorded a lower degree of priority, with the effects of the increasing slackness of demand being reinforced by the freeze on public sector payrolls and the limited scope for further special project employment. Consumer prices are currently increasing at an annual rate of 18-19 per cent, though they should decelerate markedly after mid-year to around 10 per cent by the end of the year. A considerable part of the recent high figure represents the unavoidable consequence of policy measures taken to redress the economic situation—last year's devaluation, and increased charges and reduced subsidies. Wages have been developing relatively moderately, organised labour having acquiesced in a series of wage orders falling short of increases in consumer prices. A smooth development of nominal wages—and a significant reduction in real wages—form an important part of the overall strategy, and it seems necessary that restraint in wage increases should continue for some time. As regards demand management policy more generally, while the inflation and balance of payments situations seem clearly to call for continued restraint, there could be risks of unduly disrupting the domestic economy if too rapid an elimination of the budget and balance of payments deficits were aimed at.

Movements in New Zealand's external account have typically been of decisive importance for changes in the level of domestic activity. While this is also true for other small open economies, the severity of these external impulses appears to be especially pronounced in New Zealand, on account of the country's heavy reliance on a relatively narrow range of agricultural exports. World market prices for these products are particularly volatile owing to the fact that traded volumes represent only a small proportion of

total output, rendering prices highly sensitive to small movements in demand and supply. A further difficulty which New Zealand faces is that a high proportion of its exports is subject to non-tariff barriers of varying severity. Not only can abrupt changes in access to foreign markets complicate production and market planning, but in the longer term these barriers have no doubt hampered the overall expansion of the sectors concerned. Impediments to trade in primary products have received considerable attention, though so far this has only served to underline the intractable nature of the problems involved in achieving progress in this area.

The New Zealand authorities are thus faced with two sets of problems —achievement of a higher level and greater stabilisation of export receipts, and better insulation of the domestic economy from external impulses. As regards the first, one approach which might seem promising would be a greater degree of commodity price stabilisation; but there does not appear to be a great deal that New Zealand can do on its own in this area. Another approach would be diversification of the export base. The scope for significantly broadening the product base, in anything but the very long term, is probably relatively limited. Incentives have been given to shift resources into industrial exports while, for example, a limited Free Trade agreement exists with Australia designed to ensure overseas outlets for industrial products. Nevertheless, New Zealand's natural competitive advantages are still based on extensive pastoral farming, and this seems likely to continue to dominate the country's exports in the foreseeable future. Consequently, it must be expected that the external account will continue to be subject to greater fluctuations than in other countries where the production base is more widely diversified.

Increased attention must therefore be given to developing effective measures to help offset the disequilibrating impulses from abroad. Against the background of the intensive pressures to which policy has been subjected over the recent past, the authorities have announced the setting up of a task force to examine possible improvements which could be made to longer-term economic and social planning. This would indeed appear necessary, since demand management policy has on occasion in the past actually been destabilising, as when export-led improvements in the external account have relaxed the balance-of-payments constraint and led the authorities to permit an excessive increase in domestic demand. There is also need for a greater symmetry in the responses to deflationary and inflationary influences from abroad. The recent action to allow interest rates to move more freely and so play a more active role in the allocation of resources is a welcome measure in this context which should strengthen the hand of monetary policy, even though there may initially be some adjustment problems on the part of the institutions affected. This measure should contribute to facilitating the establishment of a properly functioning securities market which would in turn extend the framework for a more flexible and efficient conduct of monetary policy. A recent measure whose appropriateness is less evident is the import deposit scheme. Although its effect on New Zealand's import bill seems certain to be very small and its tightening effect on liquidity could have been readily achieved by general measures of monetary policy, the scheme may have contributed to dampening speculative attitudes.

Agreement on comprehensive stabilisation programmes for agricultural incomes should constitute an indispensable element of any longer-term strategy. Except to some extent for the dairy industry scheme, past stabilisation policies, which have been largely of an ad hoc nature, have not proved capable of evening out the income effects of external fluctuations. For example, in the case of wool, which has experienced the greatest fluctuations in price, the ope-

rations of the Wool Marketing Corporation have served to set a floor to prices received by growers, but have not imposed a ceiling on their returns. This result reflects essentially the nature of the Corporation's activity, which is aimed at stabilising longer-run export receipts rather than growers' incomes. Recent proposals on floor price determination and levies for meat and wool go some way towards meeting this objective. The implementation of comprehensive and effective stabilisation measures in conjunction with appropriate policies in other areas would achieve two main objectives: the effects of external fluctuations on domestic demand would be markedly dampened and the short-term uncertainties inherent in agricultural production and investment would be reduced. Whether apart from short-term fluctuations the level of farm incomes is sufficient to ensure adequate levels of investment to increase production in the longer run should be viewed quite separately, although this is of course a no less important consideration.

*Annex*

# CALENDAR OF MAIN ECONOMIC EVENTS

JANUARY 1975 - MAY 1976

## 1975

*14th January*

$ NZ 14.5 million Government loan from West German bank announced.

*17th January*

Additional drawing of $ NZ 21.9 million from IMF special oil facility.

*21st January*

Social security benefits increased by 7.1 per cent in line with cost of living rise during last half 1974.

*24th January*

Short-term assistance measures for farmers announced, including:
— grants of $ NZ 50 million to establish wool and meat stabilisation accounts
— minimum prices to wool-growers
— increase in lamb prices of $ 1 per lamb
— suspension of meat inspection fees and assistance for fertiliser and loan facilities.

*10th February*

$ NZ 21.3 million Government loan from a Netherlands bank announced.
New incentives to encourage lower-cost land development announced.

*26th February*

Petrol and fuel oil prices increased; e.g. premium petrol by 9.6 per cent to 78.6 c per gallon.

*3rd March*

Government stock ratios for trustee and private savings banks reduced by 1 percentage point to assist the housing industry.
Meat Producers Board ceased offering to buy beef and instead implemented system of supplementing payments to producers.

*3rd April*

Import licensing schedule for 1975/76 year fixed at same value as previous year.

*26th April*

Assisted immigration schemes curtailed to protect employment.

*7th May*

$ NZ 18.3 million Government loan from Swiss banking syndicate announced.

*8th May*

Tariff and Development Board to be replaced by a smaller Industries Development Commission. In place of traditional five-yearly review of tariffs on goods subject to import licensing, a two-year review embracing all imports would aim at producing unified tariff policy.

*22nd May*

1975/76 Budget brought down. Main features include:
— increases in sales taxes on import-intensive items (fuel, non-essential consumer goods).
— reductions in duty concessions for travellers
— expansion of fiscal incentives (tax deductions and cash grants) for non-traditional exports.
— further assistance with agricultural input costs and rural finance
— increases in social security benefits
— incomes package. Basic pay rates raised by 11c per hour (absorbing, however, the previous January wage order) with provision for further $2^1/_4$ per cent increase in total remuneration freely negotiable between employers and employees (applicable July 9). Tax scales adjusted, reducing taxes on incomes below $ 20 thousand.
— savings bank maximum interest rates increased.

*14th June*

$ NZ 113 million Reserve Bank medium-term loan from Middle-East source announced.

*2nd July*

Social security benefits increased by $ 2.00 per week for single person (to $ 30.75) and by $ 3.35 per week for married couple (to $ 51.25).

*9th July*

Wage Adjustment Regulations amended to provide 11c per hour increase in basic pay rates (see under May 22nd).

*25th July*

Purchase of $ NZ 47 million from IMF compensatory financing facility.
Government borrowing of $ NZ 39 million on Eurodollar market announced.

*8th August*

Government borrowing of $ NZ 79 million on Eurodollar market announced.

*10th August*

New Zealand dollar devalued by 15 per cent.

*13th August*

Three new overseas loans announced:
— $ NZ 44 million Deutschmark loan.
— $ NZ 52 million Swiss franc loan.
— $ NZ 55 million drawing from 1975 IMF oil facility.

*30th August*

Increases in interest rates on government and local authority securities.

*19th September*

Dairy Board Amendment Bill providing for guaranteed price system throughout the industry introduced.

*1st October*

Permanent stabilisation scheme for meat industry providing for minimum prices to farmers announced. Government funding of $ 35 million provided, with any further requirements to be met by Reserve Bank credit at 1 per cent interest.

*6th October*

$ NZ 26 million Government loan from consortium of Netherlands banks announced.

*14th October*

Salary increase approved for State servants - 4.1 per cent up to salaries of $ 6200 ; $ 260 per year for salaries from $ 6200 to $ 10000; and 2.25 per cent for higher salaries.

*18th October*

$ NZ 31 million Government loan by public offering in Japan announced.

*24th October*

Government borrowing of $ NZ 47.6 million on Eurodollar market announced.

*8th November*

Further drawing of $ NZ 36.8 million from IMF 1975 oil facility.

*13th November*

EEC agreed to 18 per cent increase in prices for butter and cheese exports to UK from 1st January, 1976.

*18th November*

Loans up to $ 3½ thousand to be made available to sheep-farmers showing loss for season.

*16th December*

Loan of $ US 200 million ($ NZ 191 million) from an international group of financial institutions to finance Government's half interest in development of Maui offshore natural gas field.

*22nd December*

Temporary suspension placed on new loan applications to Housing Corporation.

**1976**

*12th January*

Government bread subsidy reduced.

*26th January*

Announcement of a general wage increase of 9 cents per hour or $ 3.60 per week. Social security benefits increased by 7.9 per cent.

*1st February*

Rail charges increased and Government milk subsidy reduced.

*2nd February*

Import deposit scheme introduced, effective for one year, applying to about 7 ½ per cent of total imports. For goods covered, one third of customs value to be deposited in Reserve Bank, without interest, for six months.

Most postal charges increased.

*13th February*

$ NZ 37 million Government loan in Deutschmarks through international banking syndicate announced.

*18th February*

Government banned raising of new local authorithy loans for other than specially exempted work until end-September 1976.

*3rd March*

Series of monetary measures announced, including:

— increases in public security interest rates
— revocation of Interest on Deposits regulations which control deposit rates in most financial institutions
— increases in maximum savings bank interest rates
— abolition of control over trading bank overdraft lending rates
— tightening of hire-purchase regulations for purchase of colour television sets and motor vehicles
— increases in Government lending rates through Housing Corporation and Rural Banking and Finance Corporation
— increases in rentals for State houses
— reduction of government security ratios applying to savings banks by 2 percentage points to assist the housing industry.

*19th March*

Further drawing of $ NZ 53 million from IMF 1975 oil facility.

*1st April*

Bread and flour subsidies abolished. Electricity charges increased.

*2nd April*

Import licensing schedule for the 1976/77 year again fixed at the same value as the previous year.

*22nd April*

Task-force to review economic and social planning established.

*28th April*

Further drawing of $ NZ 56 million from IMF compensatory financing facility.
Subsidies on eggs and butter abolished.
Reductions in Government expenditure and freeze on State Service staff levels announced.

*15th May*

Income stabilisation scheme for wool growers announced.
Economic policy package announced, including:
— Wage order of 7 per cent, subject to maximum of $ 7 per week (applicable 25th June).
— One-year freeze on wage and salary agreements
— Professional fees and charges, as well as company dividends frozen for one year
— increases in local authorithy loan interest rates and extension of restriction on new loans to March 1977.

# *STATISTICAL ANNEX*

Table A **Gross Domestic Product**

$ million, current prices

| Year beginning 1st April | 1966 | 1967 | 1968 | 1969 | 1970 | 1971 | 1972 | 1973 | 1974 |
|---|---|---|---|---|---|---|---|---|---|
| EXPENDITURE | | | | | | | | | |
| 1 Private consumption | 2 444 | 2 583 | 2 594 | 2 828 | 3 335 | 3 770 | 4 617 | 5 067 | 5 734 |
| 2 Government current expenditure | 565 | 598 | 650 | 721 | 861 | 1 037 | 1 117 | 1 329 | 1 596 |
| 3 Gross fixed capital formation | 960 | 869 | 964 | 1 091 | 1 263 | 1 429 | 1 639 | 2 067 | 2 510 |
| 4 Change in stocks | 139 | 139 | 81 | 119 | 258 | 242 | 13 | 282 | 960 |
| 5 Exports of goods and services | 897 | 871 | 1 127 | 1 278 | 1 302 | 1 543 | 1 952 | 2 238 | 2 120 |
| 6 Imports of goods and services | 966 | 877 | 980 | 1 130 | 1 405 | 1 481 | 1 693 | 2 223 | 3 364 |
| 7 GROSS DOMESTIC PRODUCT AT PURCHASERS' VALUES | 4 039 | 4 183 | 4 436 | 4 907 | 5 614 | 6 540 | 7 645 | 8 760 | 9 556 |

*Source:* National Income and Expenditure.

Table B **Gross Domestic Product by Sector**

Average 1965-66 prices
1965-66 = 100

| Year beginning 1st April | 1966 | 1967 | 1968 | 1969 | 1970 | 1971 | 1972 | 1973 | 1974 |
|---|---|---|---|---|---|---|---|---|---|
| 1 Agriculture | 103.2 | 106.5 | 109.3 | 108.0 | 110.2 | 113.3 | 100.4 | 92.2 | 88.8 |
| 2 Forestry and fisheries | 103.6 | 105.2 | 119.4 | 128.4 | 135.1 | 134.0 | 136.9 | 143.1 | 140.4 |
| 3 Mining abd quarrying | 107.2 | 94.2 | 93.5 | 98.1 | 106.8 | 110.5 | 123.5 | 140.6 | 142.7 |
| 4 Manufacturing | 105.5 | 104.3 | 107.1 | 119.9 | 125.1 | 130.3 | 138.4 | 156.6 | 163.1 |
| 5 Electricity, gas and water | 106.3 | 109.6 | 114.6 | 121.3 | 129.6 | 145.6 | 166.6 | 176.9 | 181.2 |
| 6 Construction | 104.1 | 99.8 | 96.5 | 104.2 | 103.9 | 101.8 | 115.6 | 121.3 | 129.5 |
| 7 Wholesale and retail trade, restaurants and hotels | 103.2 | 97.0 | 98.4 | 103.2 | 109.6 | 110.9 | 120.9 | 131.9 | 134.7 |
| 8 Transport, storage and communication | 103.4 | 101.6 | 105.7 | 111.0 | 113.8 | 115.1 | 123.3 | 140.7 | 146.5 |
| 9 Financing, real estate, insurance and business services | 102.9 | 104.1 | 106.3 | 110.2 | 114.8 | 118.4 | 124.0 | 130.6 | 131.9 |
| 10 Community social and personal services | 102.5 | 105.3 | 107.4 | 108.3 | 110.8 | 113.0 | 115.6 | 118.9 | 122.2 |
| 11 GROSS DOMESTIC PRODUCT AT FACTOR COST | 103.8 | 102.9 | 105.1 | 110.4 | 114.5 | 117.4 | 122.5 | 130.8 | 134.0 |

*Source:* Monthly Abstract of Statistics.

Table C **Labour Market**

| | 1966 | 1967 | 1968 | 1969 | 1970 | 1971 | 1972 | 1973 | 1974 | 1975 |
|---|---|---|---|---|---|---|---|---|---|---|
| | *Thousand persons as at April* | | | | | | | | | |
| Civilian employment, total | 1 014.2 | 1 040.7 | 1 022.9 | 1 046.5 | 1 077.4 | 1 099.5 | 1 107.0 | 1 136.5 | 1 179.7 | 1 193.6 |
| Unemployment (registered) | 0.4 | 1.0 | 8.5 | 2.8 | 1.4 | 1.4 | 4.7 | 2.5 | 0.7 | 3.1 |
| Unfilled vacancies (registered) | 7.9 | 5.4 | 2.0 | 3.5 | 5.0 | 2.8 | 2.4 | 3.4 | 4.6 | 2.2 |
| | *Per cent (average for year)* | | | | | | | | | |
| Unemployment (registered) | 0.05 | 0.37 | 0.66 | 0.28 | 0.15 | 0.28 | 0.51 | 0.20 | 0.08 | 0.35 |

*Source:* Monthly Abstract of Statistics.

Table D **Prices**
1965 = 100

| Calendar year | 1966 | 1967 | 1968 | 1969 | 1970 | 1971 | 1972 | 1973 | 1974 | 1975 |
|---|---|---|---|---|---|---|---|---|---|---|
| Consumers' price index[1] | | | | | | | | | | |
| Food | 101.8 | 109.2 | 112.6 | 118.0 | 125.8 | 137.3 | 143.8 | 159.9 | 178.4 | 191.6 |
| Housing | 105.3 | 111.7 | 117.7 | 124.5 | 132.7 | 142.8 | 156.1 | 173.5 | 198.4 | 217.4 |
| Total | 102.8 | 109.0 | 113.7 | 119.3 | 127.1 | 140.3 | 150.0 | 162.3 | 180.3 | 197.1 |
| Wholesale prices | | | | | | | | | | |
| Imported goods | 101.7 | 105.4 | 118.3 | 123.5 | 131.3 | 141.2 | 150.5 | 159.8 | 188.8 | 238.3 |
| Home produced goods | 101.6 | 103.3 | 108.4 | 114.2 | 120.9 | 130.0 | 139.2 | 160.8 | 167.9 | 180.1 |
| Total | 101.7 | 104.0 | 111.3 | 117.0 | 124.0 | 133.4 | 142.5 | 160.6 | 173.7 | 197.2 |
| Export prices | | | | | | | | | | |
| Pastoral and dairy products | 99.2 | 89.9 | 96.2 | 102.3 | 102.5 | 111.2 | 136.3 | 181.3 | 172.1 | 170.7 |
| Total | 99.0 | 90.3 | 97.2 | 103.2 | 103.7 | 112.3 | 135.4 | 174.1 | 171.2 | 175.5 |
| Import prices, total | 100.3 | 101.9 | 120.1 | 124.6 | 132.7 | 140.4 | 144.4 | 153.1 | 196.7 | |
| Terms of trade | 98.7 | 88.6 | 80.9 | 82.8 | 78.1 | 80.0 | 93.8 | 113.7 | 87.0 | |
| GDP deflator[2] | 101.2 | 104.7 | 110.5 | 119.3 | 132.8 | 152.9 | 176.4 | 195.0 | 207.3 | 232.2[3] |

1 The regimen of the consumers' price index was revised with effect from the beginning of 1975.
2 Year beginning April 1.
3 NZIER estimate.
*Source:* Monthly Abstract of Statistics.

Table E **Money Supply and Selected Liquid Asset Holdings of Public**[1]
$ NZ million, end December

| | 1966 | 1967 | 1968 | 1969 | 1970 | 1971 | 1972 | 1973 | 1974 | 1975 |
|---|---|---|---|---|---|---|---|---|---|---|
| Notes and coin[2] | 160 | 154 | 157 | 168 | 195 | 212 | 241 | 297 | 337 | 352 |
| Trading bank demand deposits[3] | 616 | 608 | 599 | 609 | 643 | 708 | 924 | 1 125 | 1 097 | 1 218 |
| Savings bank cheque accounts | | | | | | | | | 2 | 10 |
| MONEY SUPPLY | 776 | 762 | 756 | 777 | 838 | 920 | 1 165 | 1 422 | 1 436 | 1 580 |
| Other demand deposits | 1 105 | 1 140 | 1 209 | 1 244 | 1 290 | 1 343 | 1 516 | 1 787 | 1 827 | 1 967 |
| Savings banks | 1 024 | 1 049 | 1 093 | 1 116 | 1 166 | 1 225 | 1 391 | 1 645 | 1 734 | 1 870 |
| Other[4] | 81 | 91 | 116 | 128 | 124 | 118 | 125 | 142 | 93 | 97 |
| Time and fixed deposits | 554 | 608 | 700 | 884 | 1 007 | 1 117 | 1 419 | 1 767 | 1 820 | 2 146 |
| Trading banks | 116 | 117 | 140 | 234 | 266 | 353 | 579 | 872 | 931 | 1 077 |
| Savings banks | 355 | 412 | 468 | 542 | 601 | 587 | 604 | 641 | 666 | 772 |
| Other[4] | 83 | 79 | 92 | 108 | 140 | 177 | 236 | 254 | 223 | 297 |
| TOTAL MONEY SUPPLY AND SELECTED LIQUID ASSETS | 2 435 | 2 510 | 2 666 | 2 905 | 3 135 | 3 380 | 4 100 | 4 976 | 5 083 | 5 693 |

1 Deposits are shown net of the accounts of other financial institutions covered by this table.
2 Excluding holdings of trading banks.
3 Excluding Government deposits.
4 Covers stock and station agents, finance companies and money market dealers.
*Source:* Reserve Bank of New Zealand, Bulletin.

Table F **General Government Revenue and Expenditure**
$ NZ million

| Year beginning 1st April | 1966 | 1967 | 1968 | 1969 | 1970 | 1971 | 1972 | 1973 | 1974 |
|---|---|---|---|---|---|---|---|---|---|
| CURRENT REVENUE | 1 203 | 1 250 | 1 320 | 1 466 | 1 710 | 2 022 | 2 282 | 2 792 | |
| Direct taxes | 767 | 780 | 806 | 904 | 1 093 | 1 300 | 1 478 | 1 879 | |
| Indirect taxes | 301 | 316 | 343 | 377 | 462 | 537 | 603 | 687 | 717 |
| Trading income, net | 135 | 154 | 170 | 185 | 155 | 185 | 201 | 227 | |
| CURRENT EXPENDITURE | 978 | 1 018 | 1 090 | 1 201 | 1 408 | 1 669 | 1 910 | 2 221 | |
| Goods and services | 565 | 598 | 650 | 719 | 861 | 1 032 | 1 116 | 1 257 | |
| Social security benefits and pensions | 252 | 269 | 278 | 298 | 328 | 366 | 488 | 594 | 675 |
| Subsidies | 39 | 21 | 19 | 28 | 52 | 89 | 101 | 134 | 132 |
| Interest on public debt[1] | 116 | 124 | 136 | 148 | 158 | 171 | 190 | 214 | |
| Transfers to rest of world, net | 6 | 6 | 7 | 8 | 9 | 11 | 15 | 22 | |
| NET CURRENT SAVING | 225 | 232 | 232 | 263 | 302 | 353 | 372 | 571 | |
| Depreciation provisions | 43 | 47 | 54 | 59 | 60 | 63 | 67 | 75 | |
| GROSS SAVING | 268 | 279 | 286 | 322 | 362 | 416 | 439 | 646 | |
| CAPITAL EXPENDITURE | | | | | | | | | |
| Gross capital formation | 371 | 376 | 373 | 382 | 432 | 497 | 592 | 564 | |
| Net lending (+) or borrowing (—) plus change in cash holdings, etc.[2] | —103 | —97 | —87 | —60 | —70 | —81 | —153 | 82 | |

1 Paid in New Zealand.
2 Including change in stocks and sale by capital assets.
*Source:* National Income and Expenditure.

Table G **Balance of Payments**[1]
$ US million

| | 1967 | 1968 | 1969 | 1970 | 1971 | 1972 | 1973 | 1974 | 1975 |
|---|---|---|---|---|---|---|---|---|---|
| Exports | 959 | 1 018 | 1 194 | 1 250 | 1 380 | 1 776 | 2 496 | 2 389 | 2 148 |
| Imports | 826 | 738 | 858 | 1 023 | 1 094 | 1 246 | 1 921 | 2 876 | 2 912 |
| Trade balance | 133 | 280 | 336 | 227 | 286 | 530 | 575 | —487 | —764 |
| Invisibles, net | —276 | —198 | —228 | —256 | —239 | —278 | —361 | —644 | —638 |
| Current balance | —143 | 82 | 108 | —29 | 47 | 252 | 214 | —1 131 | —1 402 |
| Long-term capital | 87 | 16 | —2 | 20 | 27 | —14 | —80 | 544 | 981 |
| Private | 21 | —4 | —3 | 17 | 49 | 98 | —24 | 305 | .. |
| Official | 66 | 20 | 1 | 3 | —22 | —112 | —56 | 239 | .. |
| Basic balance | —56 | 98 | 106 | —9 | 74 | 238 | 134 | —587 | —421 |
| Non-monetary short-term capital | 1 | 11 | 14 | 14 | 39 | 38 | 41 | 41 | 47 |
| Errors and omissions | 3 | —6 | —20 | —4 | 28 | —33 | —98 | 92 | 42 |
| Balance on non-monetary transactions | —52 | 103 | 100 | 1 | 141 | 234 | 77 | —454 | —332 |
| Monetary sector | —19 | 63 | 43 | 14 | —1 | 2 | —15 | 35 | —26 |
| IMF credit | —89 | 99 | 21 | — | — | — | — | —103 | —188 |
| Allocation of SDR's | — | — | — | —26 | —22 | —23 | — | — | — |
| Change in reserves | 55 | —59 | 36 | 13 | 164 | 264 | 92 | —386 | —118 |
| *(a)* Gold | — | — | — | — | — | — | — | — | — |
| *(b)* Currency assets | 55 | —59 | 36 | —38 | 137 | 230 | 92 | —256 | —118 |
| *(c)* Reserve positions in IMF | — | — | — | 51 | — | — | — | —61 | — |
| *(d)* Special Drawing Rights | — | — | — | — | 27 | 34 | — | —69 | — |

1 On settlements basis.
*Source:* IMF Yearbook.

## Table H Imports: Value, Volume, Prices and Commodity Group

| June year | Value ($ NZ '000) c.d.v. | Volume index (1971 = 100) | Price index (1957 = 100) | Value of Principal Commodity Group ($ NZ '000) c.d. value | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | Food and live animals | Beverages and tobacco | Crude materials, inedible, except fuels | Mineral fuels, lubricants, etc. | Animal and vegetable oils and fats | Chemicals | Manufactured goods, etc. | Machinery and transport equipment | Miscellaneous manufactured articles | Commodities and transactions, etc. |
| 1966 | 729 426 | 94.0 | 99 | 37 117 | 8 146 | 34 954 | 39 945 | 1 273 | 80 238 | 216 289 | 263 403 | 46 825 | 1 236 |
| 1967 | 752 206 | 96.4 | 98 | 31 384 | 8 407 | 36 680 | 44 863 | 1 143 | 77 674 | 210 863 | 290 908 | 46 357 | 3 926 |
| 1968 | 622 908 | 72.5 | 108 | 31 961 | 8 649 | 31 811 | 48 042 | 1 351 | 76 766 | 182 032 | 196 382 | 43 633 | 2 280 |
| 1969 | 799 197 | 82.4 | 121 | 34 317 | 10 554 | 43 689 | 56 248 | 1 415 | 102 861 | 233 280 | 254 905 | 59 557 | 2 371 |
| 1970 | 944 324 | 93.4 | 126 | 45 212 | 8 666 | 51 396 | 59 094 | 1 709 | 116 345 | 271 612 | 319 713 | 66 552 | 4 027 |
| 1971 | 1 070 567 | 100.0 | 134 | 55 312 | 12 237 | 47 354 | 60 625 | 2 586 | 134 804 | 296 296 | 370 811 | 77 228 | 13 314 |
| 1972 | 1 152 736 | 102.7 | 140 | 58 583 | 12 873 | 44 939 | 66 593 | 2 743 | 142 790 | 285 775 | 444 503 | 84 081 | 9 857 |
| 1973 | 1 282 185 | 108.6 | 147 | 67 120 | 15 424 | 53 723 | 76 876 | 2 789 | 167 907 | 316 042 | 466 621 | 100 614 | 15 069 |
| 1974[1] | 1 842 263 | 138.6 | 170 | 85 838 | 19 762 | 77 027 | 169 997 | 7 869 | 246 859 | 492 157 | 597 549 | 132 351 | 12 855 |
| 1975[1] | 2 470 434 | 142.1 | 225 | 124 595 | 21 600 | 94 660 | 316 958 | 11 022 | 288 268 | 618 280 | 800 950 | 172 441 | 21 659 |

1 Provisional.
*Source:* Monthly Abstract of Statistics.

## Table I Imports by Country of Origin

$ NZ '000, valuation c.d.v.

| June year | Australia | United Kingdom | Canada | United States | EEC countries | | | | Japan | Total all countries |
|---|---|---|---|---|---|---|---|---|---|---|
| | | | | | France | Germany (Fed. Rep.) | Italy | Total excl. UK and Ireland | | |
| 1966 | 135 074 | 278 093 | 29 584 | 83 806 | 5 241 | 22 310 | 7 677 | 50 026 | 44 927 | 729 426 |
| 1967 | 142 957 | 275 247 | 29 507 | 96 535 | 5 987 | 26 842 | 10 585 | 57 517 | 43 928 | 752 206 |
| 1968 | 132 871 | 187 878 | 29 501 | 68 304 | 5 186 | 21 077 | 8 370 | 45 935 | 51 359 | 622 908 |
| 1969 | 158 329 | 243 483 | 30 448 | 99 655 | 6 670 | 33 807 | 11 145 | 66 039 | 64 594 | 799 197 |
| 1970 | 197 872 | 279 090 | 37 489 | 123 105 | 7 529 | 36 776 | 11 913 | 72 758 | 78 096 | 944 324 |
| 1971 | 225 467 | 309 946 | 38 378 | 129 857 | 11 001 | 49 184 | 14 361 | 98 274 | 110 272 | 1 070 567 |
| 1972 | 267 288 | 329 013 | 36 489 | 116 650 | 11 292 | 49 308 | 15 442 | 98 246 | 128 668 | 1 152 736 |
| 1973 | 323 468 | 303 592 | 34 643 | 145 857 | 12 824 | 50 969 | 16 211 | 106 902 | 166 736 | 1 282 185 |
| 1974[1] | 449 313 | 350 921 | 44 665 | 224 984 | 18 115 | 86 767 | 29 541 | 181 666 | 248 047 | 1 842 263 |
| 1975[1] | 502 639 | 465 078 | 48 898 | 329 939 | 24 340 | 110 553 | 39 018 | 237 600 | 335 625 | 2 470 434 |

1 Provisional.
*Source:* Monthly Abstract of Statistics.

## Table J Exports: Value, Volume, Prices and Commodity Group

| June year | Value ($ NZ '000) fob | Volume index (1971 = 100) | Price index (1957 = 100) | Value of Principal Commodity Group ($ NZ '000) fob value | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | | | | Meat and meat preparations | Dairy products | | | Wool | Casein | Pulp, paper and paper board |
| | | | | | Butter | Cheese | Total[1] | | | |
| 1966 | 767 281 | 76.0 | 105 | 196 652 | 109 606 | 41 716 | 175 368 | 231 939 | 19 994 | 18 341 |
| 1967 | 727 224 | 75.6 | 99 | 204 953 | 109 357 | 45 136 | 186 750 | 174 105 | 18 632 | 16 638 |
| 1968 | 820 475 | 86.0 | 97 | 260 703 | 112 169 | 47 362 | 192 236 | 158 216 | 18 149 | 23 854 |
| 1969 | 989 097 | 99.7 | 107 | 309 443 | 114 760 | 42 603 | 182 979 | 212 381 | 21 708 | 26 953 |
| 1970 | 1 086 661 | 99.7 | 109 | 368 903 | 109 747 | 44 342 | 188 052 | 204 222 | 25 755 | 28 306 |
| 1971 | 1 131 719 | 100.0 | 112 | 390 836 | 113 926 | 48 050 | 198 710 | 187 850 | 30 202 | 28 192 |
| 1972 | 1 374 956 | 104.8 | 130 | 399 004 | 183 922 | 66 324 | 329 859 | 228 639 | 25 384 | 33 763 |
| 1973 | 1 791 979 | 107.4 | 165 | 540 912 | 137 087 | 79 194 | 307 276 | 424 041 | 22 028 | 36 420 |
| 1974[2] | 1 787 563 | 95.8 | 184 | 534 849 | 107 152 | 61 805 | 302 144 | 363 410 | 28 556 | 51 801 |
| 1975[2] | 1 612 607 | 92.8 | 169 | 439 729 | 122 345 | 48 423 | 274 607 | 262 470 | 14 652 | 80 275 |

1 Excludes casein and lactose.
2 Provisional.
*Source:* Monthly Abstract of Statistics.

## Table K Exports by Country of Destination

$ NZ '000, valuation fob

| June year | Australia | United Kingdom | Total EEC countries excl. UK and Ireland | Canada | United States | Japan | Total all countries |
|---|---|---|---|---|---|---|---|
| 1966 | 36 378 | 338 983 | 121 773 | 9 575 | 107 545 | 56 856 | 761 517 |
| 1967 | 35 215 | 314 754 | 86 382 | 10 609 | 114 223 | 63 772 | 720 298 |
| 1968 | 57 765 | 352 039 | 87 243 | 10 528 | 138 240 | 68 186 | 812 780 |
| 1969 | 75 282 | 382 749 | 121 846 | 16 383 | 169 802 | 88 001 | 977 423 |
| 1970 | 87 311 | 386 017 | 121 946 | 45 343 | 166 493 | 105 557 | 1 075 212 |
| 1971 | 96 133 | 384 660 | 121 692 | 32 186 | 192 754 | 102 684 | 1 117 713 |
| 1972 | 112 812 | 419 572 | 148 201 | 40 139 | 207 842 | 130 651 | 1 358 071 |
| 1973 | 131 163 | 480 173 | 229 001 | 42 414 | 275 498 | 231 489 | 1 771 761 |
| 1974[1] | 171 789 | 365 790 | 190 138 | 52 436 | 295 343 | 248 798 | 1 757 405 |
| 1975[1] | 187 523 | 344 079 | 161 167 | 45 081 | 183 847 | 186 756 | 1 569 429 |

1 Provisional.
*Source:* Monthly Abstract of Statistics.

*INTERNATIONAL COMPARISONS*

## BASIC STATISTICS : INTERNATIONAL COMPARISONS

| | | | | Australia | Austria | Belgium | Canada | Denmark | Finland | France | Germany | Greece | Iceland | Ireland |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| POPULATION | | Mid-1973 | Thousands | 13 132 | 7 521 | 9 742 | 22 125 | 5 027 | 4 643 [2] | 52 177 | 61 967 | 8 972 | 212 | 3 051 |
| Net average annual increase | | 1963 to 1973 | % | 1.87 | 0.48 | 0.48 | 1.55 | 0.71 | 0.26 | 0.88 | 0.77 | 0.57 | 1.37 | 0.68 |
| EMPLOYMENT | Total civilian | 1973 | Thousands | 5 640 | 3 039 | 3 818 | 8 759 | 2 385 | 2 153 | 20 953 | 26 202 | (3 320) | (88) | 1 042 |
| | Agriculture | | % of total | 7.2 | 16.1 | 3.9 | 6.5 | 9.5 | 17.1 | 12.2 | 7.5 | (34.1) | (15.9) | 25.1 |
| | Industry [6] | | | 35.5 | 40.1 | 43.3 | 31.3 | 33.8 | 35.7 | 39.3 | 49.5 | (25.7) | (37.5) | 30.7 |
| | Other | | | 57.3 | 43.8 | 52.8 | 62.2 | 56.7 | 47.1 | 48.5 | 43.0 | (40.2) | (46.6) | 44.2 |
| PRODUCTION | GDP [7] per head | 1973 | $ [8] | 4 900 | 3 550 | 4 650 | 5 410 | 5 460 | 3 720 | 4 900 | 5 610 | 1 790 | 4 870 | 2 130 [13] |
| GDP by sector: | Agriculture | 1973 | % of total | 7.1 [9 10 11] | 5.8 | 3.9 | 5.2 [11] | 8.2 [11] | 12.0 | 6.3 | 2.9 | 20.4 [11] | .. | 18.0 [11 13] |
| | Industry | | | 41.4 [9 10 11] | 50.1 | 40.1 | 36.2 [11] | 39.9 [11] | 44.2 | 93.7 | 52.1 | 32.4 [11] | .. | 33.8 [11 13] |
| | Other . | | | 51.5 [9 10 11] | 44.1 | 56.1 | 58.6 [11] | 51.9 [11] | 43.8 | | 45.0 | 47.2 [11] | .. | 48.2 [11 13] |
| GDP [7 14] annual volume growth | | 1973 | % | 5.6 | 5.5 | 5.4 | 6.8 | 3.9 | 6.0 | 6.0 | 5.3 | 9.4 | 6.2 | 7.2 |
| | | 1968 to 1973 | | 5.1 | 6.4 | 5.5 | 5.2 | 4.7 | 6.8 | 6.0 | 5.1 | 8.9 | 6.3 | 4.6 |
| INDICATORS OF LIVING STANDARDS | Private consumption per head | 1973 | $ | 2 850 | 1 870 | 2 810 | 3 080 | 3 050 | 1 910 | 2 913 | 3 000 | 1 200 | 2 990 | 1 370 |
| | Public expenditure on education | 1970 | % of GNP | 4.3 | 4.7 | 5.4 [15] | 8.6 | 7.0 | 6.3 | 4.7 | 4.0 | 2.2 | 4.3 | 4.8 [15] |
| | Passenger cars, per 1 000 inhabitants | 1971 | Number | 314 | 177 | 212 | 321 | 231 | 163 | 260 | 239 | 30 | 222 | 140 |
| | Television sets, per 1 000 inhabitants | 1972 | | 227 | 226 | 236 | 349 [10] | 282 | 256 | 237 | 293 | 31 [10] | 220 | 173 |
| | Telephones, per 1 000 inhabitants | 1972 | | 340 | 226 | 240 | 499 | 377 | 295 | 199 | 268 | 160 | 370 | 114 |
| | Doctors, per 1 000 inhabitants | 1971 | | 1.25 | 1.87 | 1.60 | 1.50 | 1.41 [12] | 1.11 | 1.38 | 1.71 [12] | 1.67 | 1.44 | 1.09 [15] |
| GROSS FIXED INVESTMENT [43] | Total | 1968-72 average | % of GDP [7] | 25.8 [9] | 29.0 | 20.8 | 21.4 [18] | 23.6 | 24.1 | 26.3 | 25.9 | 25.7 [19] | 28.7 | 24.2 |
| | Machinery and equipment | | | 10.9 | 12.5 | 8.8 | 7.9 | 12.1 | 8.9 | 12.0 | 12.4 | 8.2 | 8.6 | 12.2 |
| | Residential construction | | | 5.2 | 16.5 [24] | 4.7 | 4.4 | 4.6 | 5.8 | 6.5 | 5.2 | 8.0 | 5.3 | 4.3 |
| | Other construction | | | 9.7 | — [24] | 7.3 | 9.1 | 6.9 | 9.4 | 7.8 | 8.3 [25] | 9.5 | 14.8 | 7.7 |
| WAGES/PRICES | Hourly earnings [26] | Annual increase 1967 to 1972 | % | 7.6 [27 28] | 9.3 [29] | 10.2 | 8.2 [27] | 12.4 [30] | 11.8 | 11.3 [31] | 9.3 [27] | 8.3 [27] | 18.3 [32] | 13.5 [27] |
| | Consumer prices | | | 4.2 | 4.3 | 4.0 | 3.9 | 6.2 | 5.5 | 5.6 | 3.8 | 2.6 | 13.3 | 7.6 |
| | GDP [7] deflator | | | 5.8 | 4.4 | 4.6 | 4.0 | 6.4 | 6.5 | 5.5 | 5.2 | 2.9 | 17.2 | 9.3 |
| FOREIGN TRADE | Imports [42] | 1972 | $ million [8] | 6 180 | 6 290 | 14 570 | 23 130 | 6 080 | 3 680 | 32 070 | 51 150 | 2 530 | 300 | 2 240 |
| | | | % of GDP [7] | 13.2 | 30.9 | 40.9 | 21.8 | 28.6 | 27.4 | 16.4 | 19.9 | 20.7 | 39.5 | 40.6 |
| | Exports [42] | | $ million [8] | 7 500 | 6 220 | 15 430 | 23 750 | 6 240 | 3 700 | 33 760 | 55 730 | 1 470 | 290 | 1 930 |
| | | | % of GDP [7] | 16.0 | 30.5 | 43.4 | 22.4 | 29.4 | 27.5 | 17.2 | 21.6 | 12.0 | 38.2 | 35.0 |
| BALANCE OF PAYMENTS | Current balance | 1968-72 average | % of GNP | -2.1 [9] | -0.4 | 2.5 [44] | 0.0 | -2.1 | -1.2 | -0.2 | 0.8 | -3.6 | -4.2 | -3.3 |
| Official reserves [43], end-1973: per cent of imports of goods in 1973 | | | % | 88.3 | 42.4 | 23.3 [44] | 24.7 | 17.2 | 14.8 | 22.8 | 60.8 | 30.1 | 28.1 | 36.7 |
| | Change | Nov. 1974 - Nov. 1975 | Mill. SDR's | -182 | 906 | 445 [44] | -179 | 61 | -155 | 2 986 | -487 | 46 | -1 | 121 |

| | | | | Italy | Japan | Luxembourg | Netherlands | New Zealand | Norway | Portugal | Spain | Sweden | Switzerland | Turkey | United Kingdom | United States | Yugoslavia [1] |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| POPULATION | | Mid-1973 | Thousands | 54 888 [3] | 108 350 [4] | 350 | 13 438 | 2 932 | 3 961 | 8 564 | 34 730 | 8 138 | 6 431 | 37 930 | 56 026 | 210 404 | 20 960 |
| Net average annual increase | | 1963 to 1973 | % | 0.70 | 1.22 | 0.77 | 1.17 | 1.46 | 0.77 | -0.46 | 1.06 | 0.68 | 1.09 | 2.49 | 0.43 | 1.07 | 0.95 |
| EMPLOYMENT | Total civilian | 1973 | Thousands | 18 310 | 52 330 | 154 | 4 564 | 1 137 | 1 654 | (3 109) | 12 844 | 3 879 | 3 097 | 13 810 | 24 553 | 84 409 | 8 009 [5 10] |
| | Agriculture | | % of total | 17.4 | 13.4 | 9.0 | 6.8 | 12.1 | 11.4 | (28.8) | 26.5 | 7.1 | (7.3) | 63.4 | 3.0 | 4.1 | 49.5 |
| | Industry [6] | | | 44.0 | 37.2 | 48.6 | 36.2 | 34.7 | 33.9 | (33.8) | 38.0 | 36.8 | (46.2) | 15.1 | 42.3 | 31.7 | 50.5 |
| | Other | | | 38.6 | 49.4 | 42.4 | 57.1 | 53.2 | 54.7 | (37.4) | 35.5 | 56.1 | (46.5) | 21.5 | 54.7 | 64.2 | |
| PRODUCTION | GDP [7] per head | 1973 | $ [8] | 2 510 | 3 760 | 5 200 | 4 410 [13] | 4 080 [17] | 4 780 | 1 250 | 1 750 | 6 140 | 6 190 | 540 | 3 100 | 6 170 | 792 [13] |
| GDP by sector: | Agriculture | 1973 | % of total | 8.8 | 5.9 | 4.4 [11 13] | 5.3 [11 13] | 18.8 [13] | 5.6 | 16.3 [11] | 12.7 [11] | 3.8 | .. | 26.1 | 3.0 [11] | 4.4 | 16.6 [11 13] |
| | Industry | | | 41.2 | 48.3 | 57.5 [11 13] | 44.9 [11 13] | 28.0 [13] | 33.4 | 43.2 [11] | 35.5 [11] | 36.6 | .. | 28.8 | 42.4 [11] | 33.9 | 46.6 [11 13] |
| | Other . | | | 50.0 | 45.9 | 38.1 [11 13] | 49.8 [11 13] | 53.2 [13] | 61.0 | 40.6 [11] | 51.8 [11] | 59.6 | .. | 45.1 | 54.6 [11] | 61.7 | 36.8 [11 13] |
| GDP [7 14] annual volume growth | | 1973 | % | 6.4 | 11.0 | 7.5 | 4.2 | 4.8 [17] | 3.7 | 7.6 | 7.4 | 3.3 | 3.5 | 4.6 | 5.3 | 5.9 | .. |
| | | 1968 to 1973 | | 4.3 | 9.5 | 5.2 | 5.3 | 3.1 [17] | 4.5 | 6.4 | 7.0 | 3.2 | 4.6 | 6.2 | 2.8 | 3.6 | .. |
| INDICATORS OF LIVING STANDARDS | Private consumption per head | 1973 | $ | 1 620 | 1 910 | 2 780 | 2 430 | 2 410 [17] | 2 530 | 900 | 1 170 | 3 240 | 3 640 | 320 | 1 960 | 3 840 | 425 [13] |
| | Public expenditure on education | 1970 | % of GNP | 4.3 | 4.1 | 4.4 | 7.3 [15] | 4.4 [15] | 5.9 | 2.0 | 2.4 | 7.8 | 4.2 | 2.9 | 5.5 [15] | 5.4 [15] | 4.3 [16] |
| | Passenger cars, per 1 000 inhabitants | 1971 | Number | 209 | 100 | 296 | 211 | 324 | 206 | 72 | 81 | 290 | 233 | 4 [12] | 219 | 443 | 42 |
| | Television sets, per 1 000 inhabitants | 1972 | | 202 | 225 | 220 [10] | 243 [10] | 250 | 241 | 63 | 145 | 333 | 239 | 4 | 305 | 474 | 113 |
| | Telephones, per 1 000 inhabitants | 1972 | | 206 | 315 | 361 | 299 | 458 | 320 | 99 | 164 | 576 | 535 | 19 | 314 | 628 | 44 |
| | Doctors, per 1 000 inhabitants | 1971 | | 1.83 | 1.15 | 1.07 | 1.31 | 1.16 | 1.45 | 0.98 | 1.39 | 1.36 [12] | 1.67 | 0.45 | 1.29 | 1.57 [12] | 1.06 |
| GROSS FIXED INVESTMENT [43] | Total | 1968-72 average | % of GDP [7] | 19.8 | 38.7 | 23.6 | 25.3 | .. | .. | 19.0 | 24.2 | 23.1 | 27.8 [20] | 16.9 [21] | 19.6 | 17.0 [22] | .. |
| | Machinery and equipment | | | 8.4 | 32.1 [23] | .. | 10.5 | .. | .. | 8.8 | 12.8 | 8.6 | 9.5 | 5.8 | 9.5 | 7.0 [22] | .. |
| | Residential construction | | | 5.9 | 6.6 | .. | 5.7 | .. | .. | 2.7 | 3.7 | 5.0 | 7.1 | 3.3 | 3.5 | 3.5 | .. |
| | Other construction | | | 5.5 | — [23] | .. | 9.1 | .. | .. | 7.5 | 7.7 | 9.5 | 11.2 | 7.8 | 6.6 | 6.5 | .. |
| WAGES/PRICES | Hourly earnings [26] | Annual increase 1967 to 1972 | % | 11.2 [33] | 15.6 [34] | .. | 10.4 [35] | 10.3 [37] | 10.0 [39] | 10.2 [36] | 12.6 [37] | 9.9 [38] | 6.5 [39] | 12.8 [37] | 9.6 [40] | 6.0 [41] | 16.1 [36 37] |
| | Consumer prices | | | 3.9 | 5.8 | 3.9 | 6.2 | 6.5 | 6.1 | 8.6 | 5.8 | 5.0 | 4.3 | 10.5 | 6.6 | 4.6 | 11.3 |
| | GDP [7] deflator | | | 5.0 | 4.8 | 5.9 | 6.6 | 6.9 [17] | .. | 4.3 | 6.0 | 5.2 | 6.0 | 10.5 | 6.6 | 4.4 | .. |
| FOREIGN TRADE | Imports [42] | 1972 | $ million [8] | 23 600 | 24 910 | 1 050 | 20 100 | 1 980 | 5 810 | 2 630 | 7 250 | 9 590 | 9 710 | 1 400 [10] | 33 620 | 74 830 | 3 820 |
| | | | % of GDP [7] | 20.1 | 8.5 | 77.8 | 43.4 | 23.1 | 38.3 | 32.2 | 16.2 | 23.2 | 32.6 | 10.9 | 21.8 | 6.3 | 23.2 |
| | Exports [42] | | $ million [8] | 24 040 | 31 800 | 1 100 | 21 320 | 2 320 | 6 060 | 2 220 | 7 190 | 10 110 | 9 720 | 900 [10] | 33 350 | 62 690 | 3 480 |
| | | | % of GDP [7] | 20.4 | 10.8 | 81.5 | 46.1 | 27.1 | 39.9 | 27.1 | 16.1 | 24.4 | 32.7 | 7.0 | 21.6 | 5.3 | 21.2 |
| BALANCE OF PAYMENTS | Current balance | 1968-72 average | % of GNP | 2.1 | 1.7 | — | 0.3 | 1.4 | -1.0 | 3.3 | 0.5 | -0.1 | 1.3 | -0.5 | 0.8 | -0.2 | .. |
| Official reserves [43], end-1973: per cent of imports of goods in 1973 | | | % | 23.1 | 32.0 | — | 26.9 | 119.8 | 25.3 | 99.1 | 70.3 | 23.9 | 69.5 | 102.8 | 16.7 | 20.8 | 32.9 |
| | Change | Nov. 1974 - Nov. 1975 | Mill. SDR's | -847 | -317 | — | 96 | 202 | 169 | -661 [45] | 4 [45] | 1 128 | 806 | -619 | -1 752 | 751 | -220 |

[2] 20 1 76

1 National source.
2 Does not include total net migration between Finland and the other Nordic countries.
3 Total resident population.
4 From 1972, including Okinawa prefecture.
5 Private and socialised sector.
6 According to the definition used in OECD Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
7 GDP at current prices.
8 At current prices and exchange rates.
9 Fiscal year-Beginning July 1st.
10 1971.
11 GDP at factor cost.
12 1970.
13 1972.
14 At constant (1970) prices.
15 1969.
16 1968.
17 Fiscal year-Beginning April 1st.
18 Excluding transfer costs of land and existing assets.
19 Excluding ships operating overseas.
20 1965-1969.
21 1967-1971.
22 Government and government enterprise expenditure on machinery and equipment is included in government current expenditure.
23 " Other construction " included under " machinery and equipment ". Work in progress on heavy equipment and ships for the domestic market are included in fixed asset formation.
24 " Other construction " included in " residential construction "
25 Including transfer costs of land.
26 Industry.
27 Manufacturing.
28 Males.
29 Monthly, wage earners.
30 Mining and manufacturing, males.
31 Hourly rates in manufacturing.
32 Hourly wages rates, unskilled workers.
33 Hourly rates in manufacturing, excluding family allowances.
34 Monthly earnings in manufacturing. Cash payments including bonuses, regular workers.
35 Hourly rates in industry, males.
36 Monthly.
37 Manufacturing, including salaried employees.
38 Mining and manufacturing.
39 Hourly rates.
40 Hourly rates in manufacturing, males.
41 Manufacturing, gross earnings per production worker.
42 Goods and services, excluding factor income.
43 Including reserve position in the IMF and special drawing rights.
44 Including Luxembourg.
45 October 1974 - October 1975.

NOTE Figures within brackets are estimates by the OECD Secretariat.

*Sources:* Common to all subjects and countries, except Yugoslavia (for special national sources see above): OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Balance of Payments, Observer, Statistics of Foreign Trade (Series A); Office Statistique des Communautés Européennes, Statistiques de base de la Communauté; IMF, International Financial Statistics; UN, Statistical Yearbook.

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